Viewpoint

Accounting implications of geopolitical conflicts

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Geopolitical conflicts have continued to create significant shifts in the global risk landscape and are having a pervasive economic impact. Investors will want to understand if and how this is affecting an entity's operations, risk exposures and outlook. This *In depth* is intended to help entities identify how geopolitical risks can impact their IFRS® financial statements and disclosures.

1. Background

Geopolitical risk and uncertainty from various international conflicts and related sanctions has become commonplace in recent times. It is important for reporting entities to recognise the significance of the impacts that these types of events will have on the business environment, liquidity and asset values, not only in the affected regions but also globally. Global businesses might be severely impacted by supply chain disruption, market volatility, payment risk and increasing commodity costs. The impact can be compounded when companies choose to limit or cease operations in a particular territory.

The potential implications for financial statements include not only the recognition and measurement of assets and liabilities but also presentation, disclosure and, possibly, an entity's ability to continue as a going concern.

In addressing the accounting implications of geopolitical conflicts, management should consider company-specific information as well as the broader situation and implications. Further, management should assess the need for transparent disclosure around the impacts on current and future financial performance and the related risks and uncertainties, including those around the entity's ability to continue as a going concern.

While uncertainty inherently exists at all times in the economy, this *In depth* addresses the main accounting implications related to the increased uncertainty resulting from geopolitical conflicts.

2. Sanctions and restrictions

2.1 General discussion

The level and severity of sanctions and restrictions on specific territories can have both direct and indirect accounting impacts on companies. Companies that have interests in sanctioned territories, or customers and suppliers in such territories, are likely to be the most severely impacted by sanctions.

During times of geopolitical conflict, new sanctions can be introduced and evolve at a fast pace. Entities should consult with legal counsel and professional advisors to get an understanding of the sanctions that directly and indirectly impact them. Furthermore, sanctions are often continually updated, so that any sanctions list might quickly become outdated. Government websites are a source for sanctions that are applicable in various jurisdictions.

The following summary sets out examples of broad categories of sanctions that could be applicable. However, this should not be interpreted as a complete list of the types of sanctions to which an entity might be exposed.

Sanctions and restrictions imposed generally fall into the following categories:

- *Financial service sector sanctions:* Imposing financial restrictions, including restricting investment, borrowing and lending, blocking or restricting cash transfers/bank and investment accounts etc.
- *Energy sector restrictions:* Restrictions could include bans on purchasing outputs of the energy sector (for example, crude oil) and banning imports relevant to the energy sector (for example, oilfield equipment).
- *Geographic restrictions:* Restrictions on doing business with specific geographic regions.
- *Restrictions on doing business with individuals and entities:* Countries might introduce restrictions on certain wealthy or politically connected individuals within a sanctioned territory. This could include restrictions on transactions with the individuals and any entities controlled by such individuals, or other entities considered to be in strategic sectors. The level of restrictions and which individuals are restricted can vary by territory.
- *Export controls:* Countries might introduce bans/restrictions on a broad range of items that can be imported or exported to and from a sanctioned territory (for example, advanced technologies in the defence, aviation and maritime sectors).
- *Counter-sanctions imposed:* In response to sanctions against it, some territories might impose counter-sanctions that fall into similar categories as the sanctions against it.

Within this In depth, further guidance is provided on the accounting implications resulting from direct and indirect consequences of sanctions and restrictions. Impacted areas include:

- consideration of restricted cash (see section 7.1);
- foreign currency and exchange rates (see section 13);
- financial instruments (see section 4);
- impairment of non-financial assets (see section 3.1); and
- consideration of non-current assets held for sale (see section 3.7).

Relevant guidance:

FAQ 2.1 – What are the implications when banks in a sanctioned jurisdiction are restricted access to the SWIFT (Society for Worldwide Interbank Financial Telecommunication) system?

2.2 Sanctions Subject Matter Expert (PwC use only)

Engage with your Sanctions Subject Matter Expert (SME) to understand whether, or how, the operations of the entity whose financial statements are under audit are likely to be affected by sanctions.

3. Non-financial assets

3.1 Impairment of non-financial assets

Reporting entities will need to assess whether a non-financial asset or cash-generating unit (CGU) is impaired as a direct or indirect result of geopolitical conflicts. Assets potentially affected include fixed assets, right-of-use assets, goodwill, and intangible assets. IAS 36, 'Impairment of assets', requires goodwill and indefinite-lived intangible assets to be tested for impairment at least annually. Other non-financial assets should be tested whenever there is an indicator that those assets might be impaired. [IAS 36 para 1]. Events that might indicate impairment include:

- temporarily ceasing operations;
- breaches of supply/purchase contracts;
- limitation of market for product delivery;
- decisions by multinational companies to leave a specific market; and
- decline in profitability and physical damage resulting from the event causing the uncertainty.

Plans to dispose of or abandon an operation could trigger an impairment of the underlying assets in the consolidated financial statements.

[IAS 36 para 12(f)].

When assessing impairment, a company should distinguish between assets that are damaged and those whose value is impacted by changes in projected cash flows as a result of geopolitical conflicts. Assets that are destroyed should be written off. Assets that are damaged might need to be written down and/or their useful lives might need to be revisited. Assets impacted by changes in the supply and demand for physical items, or in the cash flows relating to the assets (for example, production is affected due to reduced or increased demand for goods or limited supply of raw materials, which might also affect pricing and cash flows as a result of sanctions or otherwise), might need to be tested for impairment.

Management should consider whether:

- geopolitical events are an indicator of impairment requiring goodwill and indefinite-lived intangible assets to be tested outside the annual cycle, or other assets to be tested;
- the measures taken by governments and organisations to respond to geopolitical conflicts are likely to reduce future cash inflows, or increase operating and other costs, for the reasons described above; and
- the assumptions and cash flow forecasts used to test for impairment should be updated to reflect the economic conditions at the balance sheet date, specifically to address increased risk and uncertainty.

An expected cash flow approach (using multiple probability-weighted scenarios) might be a better way to estimate the recoverable amount of the asset/CGU than a single predicted outcome, to capture the increased risk and uncertainty in the cash flows. The potential impacts of measures taken to deal with the effects of geopolitical conflicts could be included as additional scenarios in an expected cash flow approach. There might be a range of potential outcomes considering different scenarios.

Irrespective of how the recoverable amount is determined, the factors used to determine the discount rate should be revised to reflect the impact of geopolitical conflicts and the measures taken to respond to them (for example, the risk-free rate, country risk and asset risk). The discount rate used in a single predicted outcome approach should be adjusted to incorporate the risk associated with a geopolitical conflict. Management should ensure that appropriate risk is reflected in either the cash flows or the discount rate.

Whichever approach management chooses to reflect the expectations about possible variations in the expected future cash flows, the outcome should reflect the expected present value of the future cash flows. Where fair value is used to determine the recoverable amount, the assumptions made should reflect market participant assumptions.

[IAS 36 para 53A].

An absence of market-based pricing puts significant focus on the determination of the appropriate market participants with whom the company would transact. In some cases, historically applied perspectives might no longer be valid, and certain counterparties might not be available. As such, management would have to assess (1) if historical assumptions are still sustainable, (2) who presently would be a relevant market participant, and (3) how that might affect the price or other aspects of determining fair value. Where there is no market available to the company, the company might have to determine the characteristics of a market participant to which it would hypothetically sell the asset if it were seeking to do so. Once the market participant characteristics have been determined, the company would identify the assumptions that those market participants would consider when pricing the asset. The company should construct a hypothetical or ‘most likely’ market for the asset, based on its own assumptions about what market participants would consider in negotiating a sale of the asset or transfer of the liability.

Relevant guidance:

FAQ 3.1.1 – Is a geopolitical conflict an impairment indicator?
FAQ 3.1.2 – Should the business plan prepared by management be revised to incorporate the impacts of geopolitical conflicts?
FAQ 3.1.3 – How can impairment tests that incorporate cash flow forecasts be more reliably performed in periods of geopolitical uncertainty?
FAQ 3.1.4 – What are the consequences of geopolitical conflicts on the discount rate?
FAQ 3.1.5 – Impact of country and currency risk on discount rate
FAQ 3.1.6 – Level at which impairment testing is performed
FAQ 3.1.7 – Is an entity permitted to change the timing of its annual impairment test of goodwill in response to a major geopolitical event, if the test was not historically performed at year end?
FAQ 3.1.8 – How are future cash flows determined if the entity intends to abandon its activity?
MoA FAQ 5.28.1 – Determining a hypothetical market participant
MoA EX 24.105.2 – Rates vary to reflect specific risk factors

3.2 Impairment disclosures

- The disclosure requirements in IAS 36 are extensive. Management should consider specifically the requirements to disclose assumptions and sensitivities in the context of testing goodwill and indefinite-lived intangible assets.
- Management should also consider the requirements in IAS 1, 'Presentation of financial statements', to disclose the major sources of estimation uncertainty that have a significant risk of resulting in a material adjustment to the financial statements in a subsequent period.

[Manual of Accounting (MoA) chapter 24 paras 166–171].

Relevant guidance:

FAQ 3.2.1 – Which impairment disclosures will be of particular interest to users of financial statements in periods of geopolitical conflict?

3.3 Associates and joint ventures accounted for using the equity method

Interests in joint ventures and associates accounted for under the equity method are tested for impairment in accordance with IAS 28, 'Investments in Associates and Joint Ventures'. Management should consider whether a geopolitical conflict is an indicator that an associate or joint venture is impaired.

A significant or prolonged decline in the fair value of an investment in an equity instrument below its cost is objective evidence of impairment. [IAS 28 para 41C].

Interests in joint ventures and associates that are within the scope of IFRS 9, 'Financial instruments', are subject to that standard's impairment guidance. [MoA chapter 45].

International sanctions and local legislation could impact whether an investor continues to exercise significant influence or joint control over an investee. For example, local legislation and/or sanctions might result in an investor needing to remove its directors from the board, and the investor might legally be unable to appoint any directors in the foreseeable future. It is likely, in this case, that the investor has lost significant influence. However, in limited cases, an entity might still have significant influence over its associate, or joint control over its joint venture, under these circumstances when considering the other indicators of significant influence in paragraph 6 of IAS 28.

Decisions by global entities to voluntarily abandon businesses and withdraw representatives from operations in impacted territories, such as directors from the board of directors, could also impact the significant influence or joint control assessment.

Equity accounting ceases when significant influence or joint control is lost. An investor might lose significant influence or joint control but retain an investment in the entity.

For further consideration on how to account for a loss of significant influence or joint control in an associate or a joint venture, please refer to MoA chapter 31 paras 72 and 73.

Relevant guidance:

FAQ 3.3.1 – What are the implications in the significant influence assessment of an entity that decides to remove directors from the board in the context of geopolitical conflicts?
FAQ 3.3.2 – What are the implications in the significant influence assessment of an entity that is required to remove directors from the board in the context of geopolitical conflicts?
MoA FAQ 31.51.2 – Should an investor make adjustments to its equity-accounted earnings for changes to its investee's earnings during the lag period?

3.4 Inventories

It will be necessary to consider the net realisable value of inventory and, in some cases, write-down inventory on hand at the balance sheet date. These write-downs could be due to reduced movement in inventory, an inability to source (or an increase in the cost of) raw materials and component parts to complete production due to disruptions in international supply chains, an

inability to pass increased costs on to existing customers, or inventory obsolescence due to lower-than-expected sales.

Determining net realisable value at the balance sheet date requires consideration of all available data, including changes in product prices experienced or anticipated subsequent to the balance sheet date. However, when a specific event results in the loss of value of the inventory, such as discrete governmental actions (such as sanctions) or the disappearance of a market due to a geopolitical conflict, that was not reasonably predicted as of the balance sheet date, the inventory would be impaired in the same period that the specific event occurred.

[IAS 2 para 30].

In addition, IAS 2, 'Inventories', requires fixed production overheads to be included in the cost of inventory based on normal production capacity. Reduced production might affect the extent to which overheads can be included in the cost of inventory.

[IAS 2 para 13].

Entities should assess the significance of any write-downs and whether they require disclosure in accordance with IAS 1 or IAS 2.

[IAS 1 para 98(a)]. [IAS 2 para 36(e)].

Relevant guidance:

FAQ 3.4.1 - How is overhead cost allocated to inventory where the number of units produced is reduced due to geopolitical conflicts?
MoA FAQ 25.21.2 – What factors should be considered in determining the 'normal capacity' and abnormal costs for inventory capitalisation as a result of major events that impact the business such as a global crisis?

3.5 Property, plant and equipment

Geopolitical conflicts, related sanctions and economic crises might mean that property, plant and equipment are under-utilised or not utilised for a period, or that capital projects are suspended. Assets that are damaged might need to be written down, or their useful lives might need to be revisited. IAS 16, 'Property, plant and equipment', requires depreciation to continue to be charged in the income statement while an asset is temporarily idle. IAS 23, 'Borrowing costs', requires the capitalisation of interest to be suspended when development of an asset is suspended.

A long-lived asset is not abandoned if it is only temporarily idled. For example, if a company temporarily shutters a manufacturing facility with a long remaining useful life but intends to resume operations after military activities in the area abate, the facility has not been abandoned. Although temporarily idling a long-lived asset (including a right-of-use asset) might trigger an impairment of that asset (or asset group to which it belongs), a company does not stop depreciating the asset while it is idle.

[IAS 16 para 55].

Relevant guidance:

MoA FAQ 22.90.1 – Can an entity stop depreciating an asset if it is idle?

3.6 Fair value measurement of non-financial assets and liabilities (including investment properties)

Fair values can sometimes change significantly because of geopolitical conflicts.

Valuation best practices support the use of multiple valuation techniques when estimating fair values. Changing methodologies (for example, from a market multiple approach to a discounted cash flow approach), or changing the weighting where multiple valuation techniques are used, would be appropriate if the change results in a measurement that is equally or more representative of fair value in the circumstances. This change would be considered a change in accounting estimate.

[IFRS 13 para 66].

The discount rate used in a discounted cash flow technique includes a number of market inputs, including a risk-free rate and a cost of debt. In some cases, the cost of debt might have increased. This could result, for some entities, in a higher weighted average cost of capital, and thus a higher discount rate, which would reduce the fair values. However, entities should remember that the discount rate needs to be calibrated to the risks in the cash flow forecast, including the long-term growth rate.

Please also refer to fair value measurements of financial instruments under IFRS 13 (section 4.6).

Relevant guidance:

MoA FAQ 5.77.3 – Uncertainties in cash flows and change in valuation technique for Level 3 fair value measurement
MoA FAQ 5.113.1 – Determining fair value where an entity might be forced to liquidate assets

3.7 Assets held for sale and discontinued operations

Subsidiaries, businesses and non-current assets might be disposed of in a number of different ways. The method by which the asset or business is disposed of will determine whether the disposal will fall within the scope of IFRS 5.

Some scenarios that might likely arise are:

1. **Outright sale of a business**

In an outright sale or disposal, the entity sells a business, resulting in the loss of control, in exchange for consideration. All of the factors should be considered, to determine the date on which the parent loses control of the investee.

An outright sale will fall within the scope of IFRS 5 once the ‘held for sale’ criteria are met. An outright sale includes sales for nil consideration and paying to dispose of an investment.

When an entity is committed to a sale plan involving loss of control of a subsidiary, it should classify all of the assets and liabilities of that subsidiary as held for sale when the relevant criteria are met. This is regardless of whether it will retain a non-controlling interest in the former subsidiary after the sale (such as, for instance, an interest in an associate or a joint venture).

[MoA chapter 30 paras 10–20].

The plan to dispose of a non-current asset or disposal group in the current environment is an impairment indicator, and therefore the non-current asset or disposal group should be tested for impairment under IAS 36 before being classified as held for sale. In addition, on classification as held for sale, the requirement to measure a non-current asset or disposal group held for sale at the lower of carrying amount and fair value less costs to sell might give rise to a further write-down in value (impairment loss) and possibly its subsequent reversal.

[MoA chapter 30 paras 21–30].

2. **Piecemeal sale, in which assets are sold individually or as a disposal group (that is, a group of assets disposed of together that might include associated liabilities)**

In a piecemeal disposal, assets are sold individually or as a disposal group. The assets and liabilities should be derecognised in accordance with the relevant standard. For example, IAS 16 or IAS 38 is relevant to non-financial assets. The gain or loss on the sale of individual assets is measured as the difference between the net disposal proceeds and the carrying amount of the asset at the date of disposal. The principle applies to each sale. IFRS 9 is relevant to financial assets and liabilities. Any profits or losses on sale or settlement are recognised on derecognition.

In a piecemeal disposal, the disposal plan needs to be analysed to determine if the piecemeal disposals should be considered as a single plan of disposal, where all of the assets and liabilities meet the 'held for sale' criteria at the same point. If the IFRS 5 criteria are met, the individual assets or groups of assets and liabilities will need to be classified as non-current assets or disposal groups held for sale prior to the date of disposal. Prior to classification as held for sale, the assets should be measured in accordance with their applicable standards; the planned change in use of the asset (that is, plan to dispose) would be an impairment indicator requiring the assets to be tested for impairment under IAS 36.

Refer also to MoA EX 30.39.8 and MoA EX 30.39.9.

3. **Abandonment (for example, closure of the business)**

If companies are unable to sell a business or specific assets, due to sanctions restrictions on foreign currency movement or as a result of a depressed economy resulting from a conflict, they might decide to abandon the business or scrap the assets. For businesses over which the company previously exercised control, management will need to first establish whether the

decision to abandon the business results in a loss of control (refer to section 3.8).

Typically, transfer of control cannot be clearly evidenced when a business is disposed of by terminating it through closure. Individual assets might be sold off and liabilities might be settled, and these are subject to the same derecognition principles as above for piecemeal disposals. Other assets might be scrapped.

Relevant guidance:

FAQ 3.7.1 – Abandonment and discontinued operations
FAQ 3.7.2 – How should the impairment loss be allocated?
MoA EX 30.23.1 – Treatment of lease penalty for costs to sell

3.8 Loss of control and disposal of investments in subsidiaries

As a result of governmental restrictions or sanctions, an entity might consider whether it has lost control over subsidiaries in the affected regions. Concluding on whether these restrictions result in an entity losing control might be an area of significant judgement.

An investor loses control of an investee (its subsidiary) when it no longer has the power to direct the investee's relevant activities or when it no longer has exposure to variable returns. Multinational companies should only deconsolidate subsidiaries in an affected territory if they no longer meet one of the three criteria for control under IFRS 10, 'Consolidated financial statements'. These are:

1. power over the investee;
2. exposure, or rights, to variable returns from its involvement with the investee; and
3. the ability to use its power over the investee to affect the amount of the investor's returns.

[IFRS 10 para 7(a)–(c)].

If one or more of the elements of control changes, an entity should reassess control.

An investor will lose control of its subsidiary when it no longer has the power to direct its relevant activities, and hence loses the ability to vary its returns. This is a high hurdle. Where an entity has power, it must demonstrate (in order to determine that it does not have control) that it has no exposure to variable returns. Difficulties in repatriating earnings, and uncertainty about the exchange rate, are typically not sufficient to conclude that an entity no longer has exposure to variable returns.

If, due to restrictions imposed by governments, an entity is obliged to remove its directors from a subsidiary, the investor will need to consider whether it has lost control of the subsidiary. If the removal is voluntary, please refer to FAQ 3.8.2.

Although the restrictions imposed by government sanctions might be temporary and result in a temporary loss of control, a parent will be required to deconsolidate the investee from the date when it loses control. A subsidiary's income and expenses should be included in the consolidated financial statements until the parent ceases to control the subsidiary. When an entity ceases to be a subsidiary, its former parent might retain an ownership interest, and the entity might still be an associate or a joint venture or merely an investment. The loss of control of a subsidiary results, in the consolidated financial statements, in recognising a gain or loss on deconsolidation of the interest and on the revaluation of any retained non-controlling investment. Entities should reclassify to profit or loss, or transfer directly to retained earnings, the amounts recognised in other comprehensive income in relation to that subsidiary, if required by the relevant standards. Please refer to section 13.3 for guidance on reclassification of the cumulative translation adjustment. A loss of control is an economic event, similar to that of gaining control, and so it is a remeasurement event.

A parent is required to continually assess whether it has control over its investees.

A parent needs to consider whether there is significant doubt about the existence of control. An entity should also consider what should be disclosed to explain the significant judgements and assumptions made in its control assessment. [IFRS 12 para 7]. An entity is also required to disclose significant restrictions on its ability to access or use the assets and settle the liabilities of the group. [IFRS 12 para 13].

Relevant guidance:

FAQ 3.8.1 – Does an entity lose control over its subsidiaries as a consequence of foreign exchange and trade restrictions imposed by governments in the event of a geopolitical conflict?
FAQ 3.8.2 – What are the implications, in the control assessment, of an entity that decides to remove directors from the board in the context of a geopolitical conflict?

4. Financial instruments

When accounting for an existing financial instrument within the scope of IFRS 9, there are a wide range of possible impacts that could arise from geopolitical conflicts, depending on individual facts and circumstances.

Relevant guidance:

FAQ 4.1 – What are factors to consider when reflecting impacts of a geopolitical conflict in the accounting for an existing financial instrument within the scope of IFRS 9?

4.1 Classification and measurement of financial assets and liabilities under IFRS 9

Under IFRS 9, the classification of financial assets that are debt instruments depends on both (a) the entity's business model for managing the financial assets, and (b) whether the contractual cash flows of the financial asset are solely payments of principal and interest.

[IFRS 9 para 4.1.1].

Management should consider the impact of geopolitical conflicts on the classification of these assets – in particular, whether the entity's business model for managing financial assets might have changed, both for existing financial assets and/or new financial assets.

Additionally, the impact of any changes to the terms of a loan agreement, such as a result of sanctions or the renegotiation of terms between a borrower and a lender, should be assessed.

Specifically, lenders should apply the guidance in IFRS 9 to determine the impact of the change in terms, including those for determining whether the change to the terms results in derecognition and, if not, for recognising a modification gain or loss.

Borrowers should also apply the guidance in IFRS 9 to determine whether a financial liability should be derecognised. A financial liability should be removed from the balance sheet when it is extinguished (that is, when the obligation is discharged, is cancelled or expires). Similarly, a substantial modification of the terms of an existing financial liability or a part of it should be accounted for as an extinguishment of the original liability and the recognition of a new liability.

Refer also to MoA EX 44.27.2.

Relevant guidance for lenders:

MoA FAQ 42.59.2 – How are the criteria for reclassification of financial assets and the timing of reclassification assessed?
MoA FAQ 42.121.1 – How should an entity account for changes to the cash flows on a debt instrument measured at amortised cost or fair value through other comprehensive income (FVOCI)?
MoA EX 44.27.2 – De-recognition of financial assets
MoA EX 44.27.3 – De-recognition of financial asset due to modification of cash flows

Relevant guidance for borrowers:

MoA FAQ 44.110.1 – What qualitative and/or quantitative tests are required to determine whether terms are 'substantially different'?

4.2 Impairment under IFRS 9

Where an entity has any financial instruments that are within the scope of IFRS 9's expected credit loss (ECL) model, management should consider the impact of geopolitical conflicts on the ECL. Instruments to be considered include:

- loans, trade and other receivables;
- debt instruments not measured at fair value through profit or loss;
-

- contract assets;
- lease receivables;
- financial guarantees; and
- loan commitments.

[IFRS 9 para 5.5.1].

Management should consider the following:

- Whether the ECL is measured at a 12-month or lifetime ECL. If the credit risk (risk of default) has increased significantly since initial recognition, the ECL is measured at the lifetime ECL rather than the 12-month ECL (except for assets subject to the simplified approach, such as short-term receivables and contract assets, which are always measured using lifetime ECL).
- Whether the financial instrument is credit-impaired. This might be evidenced by significant financial difficulty of the borrower, a breach of contract such as a default, or it becoming probable that the borrower will enter bankruptcy or other financial reorganisation. More broadly, an asset is credit-impaired when one or more events that have a detrimental impact on the estimated future cash flows of that financial asset have occurred. That might be the case even when the borrower itself is creditworthy (for example, if the borrower is prevented from making contractual payments due to sanctions or other governmental restrictions).
- The estimate of ECL itself. This will include all of:
    - the credit risk (risk of default); for example, this might increase if the debtor's business is adversely impacted by a conflict;
    - the amount at risk if the debtor defaults (exposure at default); for example, debtors affected by a conflict might draw down on existing unused borrowing facilities, or cease making discretionary over-payments, or take longer than normal to pay, resulting in a greater amount at risk; and
    - the estimated loss as a result of default (loss given default); for example, this might increase if a conflict results in a decrease in the fair value of a non-financial asset pledged as collateral. The enforceability of integral guarantees would also need to be considered.

[MoA chapter 45 para 1].

If contractual payment dates are extended, or amounts are expected to be received later than when contractually due, this might give rise to an ECL, unless either additional compensation is received for the lost time value of money or the effective interest rate is 0%.

IFRS 9 requires forward-looking information (including macro-economic information) to be considered both when assessing whether there has been a significant increase in credit risk and when measuring ECL. This might be achieved by adding one or more additional scenarios to the entity's existing scenarios related to the escalation of a conflict, amending existing scenarios and/or increasing their weighting, or using an 'overlay' if the impact is not included in the entity's main ECL model. [IFRS 9 App B para B5.5.2].

Management should consider the need to disclose the impact of a conflict on the impairment of financial assets. For example, disclosures required by IFRS 7, 'Financial instruments: Disclosures', that might be affected include:

- how the impact of forward-looking information has been incorporated into the ECL estimate;
- details of significant changes in assumptions made in the reporting period; and
- changes in the ECL that result from assets moving from stage 1 to stage 2, and to stage 3.

Relevant guidance:

FAQ 4.2.1 – Are government bonds that are issued by a sanctioned country but denominated in a foreign currency, and held by foreign investors who are impacted by the sanctions, credit-impaired under IFRS 9?
MoA FAQ 45.66.1 – In the context of COVID-19 and ECL, what information is 'reasonable and supportable'?
MoA FAQ 45.64.2 – To what extent should additional information after the reporting date be included in the ECL estimate?

4.3 Hedge accounting

Management should consider the impact of a geopolitical conflict on its existing hedges – in particular, whether the hedges continue to meet the criteria for hedge accounting. For example, if a hedged forecast transaction is no longer highly probable to occur, hedge accounting is discontinued. For similar reasons, management should also consider the impact on its ability to designate new hedges.

[IFRS 9 App B para B6.5.27(b)]. [IAS 39 para 101(c)].

Relevant guidance:

FAQ 4.3.1 – What factors should be considered in assessing the 'highly probable' criterion for cash flow hedges of forecast purchases or sales in light of disruptions to the supply chain or sales process as a result of a geopolitical conflict?

EX 4.3.2 – Recoverability test for hedging reserves

4.4 'Own use' under IFRS 9

Under IFRS 9, contracts to buy or sell a non-financial item that can be settled net in cash are within the scope of the standards (with the result that they are typically accounted for as derivatives), unless the contracts were entered into and continue to be held for the purpose of receipt or delivery of non-financial items to meet the entity's expected purchase, sale or usage requirements. Geopolitical conflicts might impact whether some contracts meet these 'own use' requirements. For example, disruption to an entity's supply chain might have the effect that certain commodity contracts will be settled net in cash rather than by physical delivery. Wide-ranging impacts on the supply of commodities (such as energy, or rare earth metals) and other inputs/materials, transport disruption (such as flight paths) and export control restrictions might have an impact on the 'own use' assertion.

[IFRS 9 para 2.4].

4.5 Disclosures under IFRS 7 (financial, market and interest-rate risks)

Additional disclosures might be required to reflect evolving risks associated with a geopolitical conflict. IFRS 7 requires, amongst other things, disclosure of defaults and breaches of loans payable, of gains and losses arising from derecognition or modification, and of any reclassification from the cash flow hedge reserve that results from hedged future cash flows no longer being expected to occur.

[IFRS 7 para 18]. [IFRS 7 para 20]. [IFRS 7 para 20A]. [IFRS 7 para 23F].

Entities will need to disclose any changes in their financial risks (such as credit risk, liquidity risk, currency risk and other price risk) or in their objectives, policies and processes for managing those risks. In particular, additional disclosures about liquidity risk might be needed if a geopolitical conflict has affected an entity's normal levels of cash inflows from operations or its ability to access cash in other ways, such as from factoring receivables or supplier finance.

[IFRS 7 App A].

Enhanced concentration risk disclosures might also be necessary to indicate the extent to which various financial risks are concentrated in territories impacted by a geopolitical conflict.

The fair value hierarchy level of investments in shares or financial instruments traded in sanctioned markets might be impacted where active markets are no longer accessible/observable. See section 4.6 for more information.

Volatility in the commodities or foreign exchange markets could lead to certain derivatives being in a significant liability position. Therefore, entities need to consider the disclosures relevant to liquidity risk, including the fact that paragraph B11F(g) of IFRS 7 requires disclosures of derivative arrangements that could require the posting of collateral (for example, margin calls for derivatives).

Entities also need to consider if there are liabilities that cannot be paid due to sanctions and whether these are considered to be in default. The impact of any cross-default clauses should also be considered. Please see section 11.2 for further guidance on breach of covenants.

Relevant guidance:

FAQ 47.92.1 – What are examples of concentrations of risk?

4.6 Fair value of financial assets and

liabilities

The fair value of an asset or liability at the reporting date should be determined in accordance with the applicable IFRS Accounting Standards. When fair value is based on an observable market price, the quoted price at the reporting date should be used. The fair value of an asset reflects a hypothetical exit transaction at the reporting date. Changes in market prices after the reporting date are therefore not reflected in asset valuation.

[IFRS 13 para 24].

The volatility of prices on various markets might increase as a result of a geopolitical conflict. This affects the fair value measurement either directly – if fair value is determined based on market prices (for example, in the case of shares or debt securities traded on a sanctioned market) – or indirectly (for example, if a valuation technique is based on inputs that are derived from volatile markets).

Counterparty credit risk and the credit spread that is used to determine fair value might also increase, particularly as a result of increased sanctions.

A change in the fair value measurement affects the disclosures required by IFRS 13, 'Fair value measurement', which requires entities to disclose the valuation techniques and the inputs used in the fair value measurement, as well as the sensitivity of the valuation to changes in assumptions. It might also affect the sensitivity analysis required for recurring fair value measurements categorised within level 3 of the fair value hierarchy. The number of instruments classified as level 3 might increase.

[IFRS 13 para 91].

Relevant guidance:

FAQ 4.6.1 – Determining whether a market is still active in a period of market disruption
FAQ 4.6.2 – Assessing prices in inactive markets
FAQ 4.6.3 – Determining whether transactions are orderly
FAQ 4.6.4 – Delays in the availability of information as a result of a geopolitical conflict
FAQ 4.6.5 – How should uncertainties associated with a geopolitical conflict be factored into the fair value measurement of financial instruments?
FAQ 4.6.6 – What are the implications of a conflict or sanctions in a territory on the measurement of bonds issued out of that territory that are held at fair value?
MoA FAQ 5.22.3 – Should possible future modifications be considered when determining the fair value of a debt instrument?
MoA FAQ 5.53A.2 – Consideration of fair value where an entity has breached a debt covenant
MoA FAQ 5.94.2 – Adjustments to the quoted price in an active market in times of significant market volatility
MoA FAQ 5.94.4 – Post market closure events

4.7 Subsidiaries, associates and joint ventures measured at fair value

The fair values of investments in subsidiaries, associates and joint ventures might be affected by equity market volatility. The starting point for the valuation of a listed company is the market prices at the reporting date.

Entities are required to disclose changes in business or economic circumstances that affect the fair value of investment entities or investments in associates and joint ventures carried at fair value under IFRS 9.

5. Leases

A lessor and a lessee might renegotiate the terms of a lease as a result of a geopolitical conflict. In some cases, a lessor might have significant concerns over the recoverability of lease receivables from impacted entities, particularly where there are substantial sanctions. Both lessors and lessees should consider the requirements of IFRS 16, 'Leases', and whether the concession should be accounted for as a lease modification and spread over the remaining period of the lease.

Refer to MoA FAQ 15.88.1.

Relevant guidance:

FAQ 5.1 – What are the accounting implications of a force majeure clause in a lease contract in the context of a geopolitical

conflict?
FAQ 5.2 – Should a lessor in an operating lease continue to recognise lease income when its collectability is uncertain due to a geopolitical conflict?
MoA FAQ 15.136.4 – How should such a forgiveness of the lease receivable be accounted for by the lessor where the rent concession changes the original terms and conditions of a lease contract classified by the lessor as an operating lease?
MoA FAQ 45.54.2 – What are the expected credit loss requirements for an operating lease receivable?

6. Insurance contracts

6.1 Policyholder accounting

Management should consider whether losses arising as a result of geopolitical conflicts are covered by its insurance contracts. For example, the closure of businesses in affected territories might give rise to claims under business continuity insurance. Property damaged or destroyed as a result of a geopolitical conflict might give rise to claims under property-casualty insurance. An entity that holds insurance contracts for business interruption might be able to recognise an asset arising under an insurance contract. See Section 9.3 for further information.

6.2 Insurer accounting

An entity that issues insurance contracts that provide coverage in areas affected by a geopolitical conflict should consider whether there is a need to revise its estimate of claims, and whether contracts have become onerous.

IFRS 17 requires an entity to measure insurance contract liabilities based on current expectations at the measurement date, including assumptions about the future, on a probability-weighted, present-value, risk-adjusted basis. Changes in assumptions about expected future cash flows adjust the profit margin. If changes in assumptions result in a group of insurance contracts becoming onerous (that is, the entity expects net cash outflows), the entity is required to recognise the loss immediately in profit or loss.

[IFRS 17 para 32]. [IFRS 17 para 33]. [IFRS 17 para 48].

Entities that issue insurance contracts also need to consider how a geopolitical conflict affects their disclosures, in particular relating to changes in significant judgements, and relating to their risk exposures and how they manage them.

[IFRS 17 para 117]. [IFRS 17 para 123]. [IFRS 17 para 124].

7. Cash and cash equivalents

IAS 7 defines cash equivalents as short-term, highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value. [IAS 7 para 6]. Sanctions imposed on central banks might restrict the access of impacted territories to foreign currency reserves. Accordingly, those central banks will have limited options in intervening in the foreign currency market, and the liquidity/exchangeability of the currency might be severely impacted. For more information on the lack of exchangeability of foreign currencies, refer to section 13.

Entities might also have limitations on the ability to access deposits in impacted banking systems. Management should consider whether investments previously classified as cash equivalents continue to meet the definition in light of increases in credit risk and/or restrictions on redemption. Investments might need to be reclassified out of cash equivalents, and/or cash might need to be presented or disclosed as restricted.

7.1 Restricted cash

Cash might be held by subsidiaries where sanctions and restrictions are in force, such that the cash is not freely transferable around the group. Where significant amounts of cash and cash equivalent balances are not available for use by the group, disclosure is required of the relevant amounts, along with a commentary on their restriction.

[IAS 7 para 48].

Relevant guidance:

FAQ 7.1.1 – How do restrictions on the remittance of cash affect presentation of cash and cash equivalents?
FAQ 7.1.2 – How should the entity classify demand deposits that are subject to restrictions on use in the statement of cash flow and in the statement of financial position?
MoA FAQ 7.46.1 – Should restricted funds be classified in the cash flow statement as part of 'cash and cash equivalents'?

8. Revenue recognition

Global conflicts might impact the ability of some companies to sell or receive goods and services.

An entity's sales and revenue might decline as a result of the reduced economic activity following sanctions imposed, supply chain disruptions, or volatility in the financial markets. The decline in sales, and resulting impact on revenue, is accounted for when it happens.

However, there could also be an effect on the assumptions made by management in measuring the revenue from goods or services already delivered and, in particular, on the measurement of variable consideration. For example, reduced demand could lead to additional price concessions, reduced volume discounts, penalties for late delivery, or a reduction in the prices that can be obtained by a customer. All of these could affect the measurement of variable consideration. IFRS 15, 'Revenue from contracts with customers', requires variable consideration to be recognised only when it is highly probable that amounts recognised will not be reversed when the uncertainty is resolved.

[IFRS 15 para 56].

Management should reconsider both its estimate of variable consideration and whether the recognition threshold is met.

IFRS 15 is applied only to those contracts where management expects a customer to meet its obligations as they fall due. Management might choose to continue to supply a customer even where it is aware that the customer might not be able to pay for some or all of the goods being supplied. Revenue is recognised in these circumstances only where it is probable that the customer will pay the transaction price when it is due, net of any price concession.

[IFRS 15 para 57].

IFRS 15 requires an entity to disclose information that allows users to understand the nature, amount, timing and uncertainty of cash flows arising from revenue. This might require, for example, information about how an entity has applied its policies, taking into account any uncertainty that arises from geopolitical conflicts, the significant judgements applied (for example, whether a customer is able to pay) and the significant estimates made (for example, in connection with variable consideration).

[IFRS 15 para 110].

Relevant guidance:

FAQ 8.1 – How could revenue recognition be impacted by a customer's inability to make payments due to the disruption caused by a geopolitical conflict?
FAQ 8.2 – Negative revenue: revision of a 'highly probable' variable transaction price due to a geopolitical conflict
FAQ 8.3 – For entities using the cost-to-cost input method for revenue recognition, should additional costs arising due to a geopolitical conflict be included in the measure of progress?
FAQ 8.4 – What should entities consider when modifying contracts or terminating relationships with customers in sanctioned jurisdictions?

9. Non-financial obligations

9.1 Provisions

IAS 37, 'Provisions, contingent liabilities and contingent assets', requires a provision to be recognised only where:

- an entity has a present obligation;
- it is probable that an outflow of resources is required to settle the obligation; and
- a reliable estimate can be made.

[IAS 37 para 14].

Management's actions in response to geopolitical conflicts should be accounted for as a provision only to the extent that there is a present obligation for which the outflow of economic benefits is probable and can be reliably estimated. For example, a provision for restructuring should be recognised only where there is a detailed formal plan for the restructuring, and management has raised a valid expectation in those affected that the plan will be implemented.

IAS 37 does not permit provisions for future operating costs or future business recovery costs (see MoA FAQ 16.22.1).

IAS 37 requires an entity to disclose the nature of the obligation and the expected timing of the outflow of economic benefits.

[IAS 37 para 85].

Relevant guidance:

FAQ 9.1.1 – Are penalties arising on the termination of a contract in the scope of IAS 37 or IFRS 9?

9.2 Onerous contracts

Onerous contracts are those contracts for which the unavoidable costs of meeting the obligations under the contract exceed the economic benefits expected to be received under it. Unavoidable costs under a contract are the least net cost of exiting the contract (that is, the lower of the cost to exit or breach the contract and the cost of fulfilling it). Such contracts might include, for example, supply contracts that the entity is able to fulfil only at a loss because of a conflict in a certain territory. Management should consider whether any of its contracts have become onerous.

[IAS 37 para 68].

Relevant guidance:

FAQ 9.2.1 – How should payments in relation to termination of contracts be dealt with in the financial statements?

9.3 Recovery of costs

In response to global conflicts, some entities might decide to temporarily close businesses in affected territories. An entity might have business continuity insurance and be able to recover some or all of the costs of closing. Management should consider whether the losses arising from the closure of businesses are covered by its insurance policies. The benefit of qualifying insurance reimbursement is typically recognised when the insurer has accepted that there is a valid claim and management is satisfied that the insurer can meet its obligations. Insurer acceptance of the claim will in many cases be crucial, because many insurance contracts include provisions that do not cover the beneficiary for losses as a result of acts of war.

The benefit of insurance is often recognised later than the costs for which it compensates.

Similarly, any insurance claims for property damaged or destroyed would be recognised when the compensation becomes receivable.

[IAS 16 para 65]. [IAS 37 para 33].

9.4 Employee benefits and share-based payments

Management should consider whether any of the assumptions used to measure employee benefits and share-based

payments should be revised. For example, the yield on high-quality bonds or the risk-free interest rate in impacted territories, or the probability of an employee meeting the vesting conditions for bonuses or share-based payments, might have changed.

Management should consider the impact of any changes made to the terms of, for example, a share-based payment plan, to address the changes in the economic environment and the likelihood that performance conditions will be met. To the extent that such changes are beneficial to the employee, they would be accounted for as a modification and an additional expense would be recognised. [IFRS 2 para 27]. Management should be aware that cancelling a share-based payment award, even if the vesting conditions are unlikely to be satisfied, results in immediate recognition of the remaining expense. [IFRS 2 para 28(a)].

Management should also consider whether it has a legal or constructive obligation to its employees in connection with a geopolitical conflict (for example, additional leave days granted or additional financial, or other, assistance provided to employees) for which a liability should be recognised in accordance with the guidance in IAS 19, 'Employee benefits'.

[IAS 19 para 4].

Management might consider reducing its workforce as a result of a geopolitical conflict. IAS 19 requires a liability for employee termination to be recognised only when the entity can no longer withdraw the offer of those benefits, or when the costs of a related restructuring are recognised in accordance with IAS 37.

[IAS 19 para 165].

IFRS 2, 'Share-based payment', requires entities to explain modifications to share-based payments, the incremental fair value granted, as well as information about how the incremental fair value was determined.

[IFRS 2 para 47].

IAS 19 requires extensive disclosure of the assumptions used to estimate employee benefit liabilities, together with sensitivities and changes in those assumptions (refer to MoA chapter 19 paras 143–154).

For information on determining the defined benefit obligation and the fair value of the plan assets and the related expense for interim periods in accordance with IAS 34, 'Interim financial reporting', please refer to FAQs 12.3 and 12.4.

Relevant guidance:

FAQ 9.4.1 – Is an announcement of a restructuring plan to some of those parties affected by the plan sufficient to recognise a liability for the total expected restructuring provision?
FAQ 9.4.2 – How should a change in settlement of equity awards to employees in a sanctioned jurisdiction be accounted for?
FAQ 9.4.3 – If a company decides to pay salaries to employees unable to work, when should the expense related to these payments be recognised?

9.5 Income taxes

Global conflicts could affect future profits as a result of direct and indirect factors (including effects on customers, suppliers and service providers). Asset impairment could also reduce the amount of deferred tax liabilities and/or create additional deductible temporary differences. Entities with deferred tax assets should reassess forecast profits and the recoverability of deferred tax assets in accordance with IAS 12, 'Income taxes', taking into account the additional uncertainty and the steps taken to control it.

[IAS 12 para 56].

Management might also consider whether the impact of geopolitical conflict affects its plans, and ability, to distribute profits from subsidiaries and, therefore, whether it needs to reconsider the recognition of any deferred tax liability in connection with undistributed profits. Management's decision to exit certain markets might also need to be taken into account in this regard.

Management should disclose any significant judgements and estimates made in assessing the recoverability of deferred tax assets, in accordance with IAS 1.

Relevant guidance:

FAQ 9.5.1 – What should a company consider when assessing the recoverability of its deferred tax assets in periods of geopolitical conflicts?
FAQ 9.5.2 – What other potential tax accounting implications might companies encounter as a result of a geopolitical conflict?

10. Going concern and events after the reporting period

10.1 Going concern

Management should consider the potential implications of a geopolitical conflict, and the measures taken in response to it, when assessing the entity's ability to continue as a going concern. An entity is no longer a going concern if management intends either to liquidate the entity or to cease trading, or it has no realistic alternative but to do so. Management should consider the impact of measures taken by global organisations, governments and global payment systems in its assessment of going concern, as well as the impact of disruptions to supply chains and access to customers and/or goods. Management should also remember that events after the reporting date that indicate that an entity is no longer a going concern are always adjusting events from a 'going concern' perspective.

[IAS 1 para 25].

Material uncertainties that might cast significant doubt on an entity's ability to continue as a going concern should be disclosed in accordance with IAS 1.

[IAS 1 para 122].

Relevant guidance:

FAQ 10.1.1 – What timeframe should management consider when assessing going concern?
FAQ 10.1.2 - How should the requirements in IAS 1 regarding the going concern assumption be applied?
MoA FAQ 4.30.1 – What is the basis of accounting for an entity that is not a going concern?

10.2 Events after the reporting period

Geopolitical situations often evolve rapidly. Management should consider the requirements of IAS 10, 'Events after the reporting period', and in particular whether the latest developments provide more information about the circumstances that existed at the reporting date. Events that provide more information about the escalation of a conflict might be adjusting events. Clear disclosure of adjustments made, and of events that are considered to be non-adjusting, is required where this is material to the financial statements.

[IAS 10 para 21].

Relevant guidance:

FAQ 10.2.1 – Adjusting events affecting impairment calculations related to non-financial assets with a measurement basis other than fair value
FAQ 10.2.2 – Adjusting events affecting remeasurement/impairment calculations related to assets with a measurement basis of fair value

11. Presentation and disclosure

11.1 Presentation of financial statements

An entity might consider several presentation alternatives within the financial statements to provide useful information in relation to geopolitical conflicts. Entities should ensure that any presentation alternative complies with IAS 1's requirements. In some cases, it might be more helpful to provide narrative explanations of the impact within the notes.

Relevant guidance:

FAQ 11.1.1 – Presentation of the impact of a geopolitical conflict in the income statement

11.2 Breach of covenants

Companies might experience significant liquidity issues, changes in debt/equity ratios and changes in other financial metrics as a result of geopolitical conflicts. This might call into question whether the company complies with its debt covenants. Any financial impact, subsequent sanctions or resulting economic crisis might cause some entities to breach covenants on borrowings or to trigger material adverse change clauses. In addition, assets backing collateralised borrowings could have been destroyed or damaged.

This could result in loan repayment terms changing and some loans becoming repayable on demand. Management should consider whether the classification of loans and other financing liabilities between non-current and current is affected and, in extreme situations, whether the entity remains a going concern. Management should consider particularly the impact of any cross-default clauses. Management should also consider the effect of any changes in the terms of borrowings as a result of the circumstances described above.

Relevant guidance:

MoA FAQ 4.80.2 – How should loans with material adverse change and subjective acceleration clauses be classified?
MoA FAQ 4.86.1 – How should a loan balance be classified when the entity has a covenant breach reported after period end?

11.3 General disclosures

Management should consider the specific requirements in IAS 1 to disclose:

- significant accounting policies;
- the most significant judgements made in applying those accounting policies; and
- the estimates that are most likely to result in an adjustment to profits in future periods.

All these disclosures might be different as a result of geopolitical conflicts. The extent of disclosures regarding estimation uncertainty might need to be increased. For example, the carrying amount of more items might be subject to a material change within the next year.

There might also be individually significant financial effects – for example, individually material expenses such as an impairment or a modification adjustment. In addition to the disclosure requirements of individual standards, IAS 1 requires an entity to disclose separately on the face of the income statement, or in the notes to the financial statements, material items of income or expense. An entity might also disclose additional line items or subtotals on the face of the income statement where this is necessary for an understanding of performance. Management should consider the specific requirements of IAS 1 if it discloses additional subtotals (refer to FAQ 11.1.1). There is also a requirement in IAS 1 to disclose information relevant to an understanding of the financial statements that is not otherwise disclosed.

11.4 Disclosure outside the financial statements

An entity's stakeholders will be interested in the impact of major geopolitical events on the entity's operations. Some of these stakeholders' needs might be met in a more appropriate or timely way by communication outside the financial statements. For example, management might consider updating its analysis of the principal risks and uncertainties. Management should also consider any specific local disclosure requirements, such as those issued by a local securities regulator.

Regardless of the reason for providing additional information outside the financial statements, entities should ensure that information provided within and outside the financial statements is consistent and complementary.

12. Interim financial statements

Many entities might first report the impact of a geopolitical event in interim financial statements. The recognition and measurement guidance described above applies equally to interim financial statements. There are typically no recognition or measurement exceptions for interim reporting, although management might have to consider whether the impact of such events would be considered a discrete event for the purposes of calculating the expected effective tax rate. IAS 34 states that there might be greater use of estimates in interim financial statements, but it requires the information to be reliable and all relevant information to be disclosed.

[IAS 34 para 41].

Interim financial information usually updates the information in the annual financial statements. However, IAS 34 requires an entity to include in its interim financial report an explanation of events and transactions that are significant to an understanding of the changes in financial position and performance of the entity since the end of the last annual reporting period. This implies that additional disclosure should be given to reflect the financial impact of geopolitical conflict. This disclosure should be entity-specific and should reflect each entity's circumstances.

[IAS 34 para 15].

Where significant, the disclosures required by paragraph 15B of IAS 34 should be included, together with:

- the impact on the entity's results, balance sheet and cash flows;
- significant judgements that were not required previously (for example, in connection with expected credit losses);
- updates to the disclosures of significant estimates; and
- events since the end of the interim period.

Relevant guidance:

FAQ 12.1 – What is the impact on impairment testing of providing financial information (such as a Q1 or Q2 trading update) during the year but not in accordance with IAS 34?
FAQ 12.2 – How should an entity estimate the weighted average annual effective income tax rate?
FAQ 12.3 – What are the potential implications of a geopolitical conflict for the net defined benefit liability when reporting under IAS 34?
FAQ 12.4 – What are the potential implications of a geopolitical conflict for pension expense when reporting under IAS 34?

13. The effects of changes in foreign exchange rates

Entities conduct business with foreign jurisdictions in two main ways. First, entities might enter into transactions in foreign currencies (such as buying goods and services from foreign suppliers and selling to overseas customers). Secondly, they might conduct business through foreign subsidiaries, branches and joint arrangements. In addition, an entity might present its financial statements in a foreign currency. IAS 21 sets out requirements for each of the above.

Companies that have interests or customers and suppliers in a sanctioned jurisdiction are likely to be the most severely impacted by sanctions, which could, in turn, impact the accounting under IAS 21. Entities should consider the implications of each sanction and restriction on their financial and operational performance.

13.1 Foreign currency transactions

The introduction of sanctions and restrictions generally results in significant volatility in the exchange rates for the currency of the sanctioned territory. In particular, restrictions against a central bank are likely to limit the ability of a territory to stabilise the exchange rate of its currency, and such restrictions might impact the ability to exchange its currency for other currencies.

Exchange rate volatility has an impact on the exchange rates used to translate income statement amounts. An average rate that approximates the actual rate at the date of transaction can be used for practical reasons. However, the use of an average rate might no longer be appropriate if exchange rates fluctuate significantly.

[IAS 21 para 22].

Closing exchange rates must be spot rates at the balance sheet date, and any post balance sheet movements in these rates are considered non-adjusting events.

[IAS 21 para 23(c)]. [IAS 21 para 8].

IAS 21 requires the use of closing rates. In determining whether a rate is a closing rate, an entity should consider whether currency is obtainable at an official quoted rate and whether the quoted rate is available for immediate delivery. In practice, a normal administrative delay in obtaining funds would be acceptable.

In August 2023, the IASB amended IAS 21 to add requirements to help entities to determine whether a currency is exchangeable into another currency, and the spot exchange rate to use when it is not. These new requirements apply for annual reporting periods beginning on or after 1 January 2025, with early application permitted. The new requirements replace the previous guidance on a temporary lack of exchangeability; and, when adopted, apply to any lack of exchangeability, regardless of the duration. For guidance on applying the amendments, see MoA paras 49.80 - 49.92.

In addition, following any volatility in exchange rates, entities might need to consider any potential impairment of the translation of non-monetary items. For 'value in use' calculations, future cash flows are estimated in the currency in which they will be generated and then discounted using a discount rate appropriate for that currency. An entity then translates the present value using the spot exchange rate at the date of the 'value in use' calculation.

[IAS 36 para 54].

13.2 Foreign operations and consolidated financial statements

Where foreign activities are undertaken through foreign operations, the financial statements of those foreign operations are translated so that they can be included in the reporting entity's financial statements by consolidation or the equity method. The process of translation addresses the appropriate exchange rates to use for translating the income statement and the balance sheet of the foreign operation. It also addresses how the financial effects of changes in exchange rates are recognised in the reporting entity's financial statements.

Parent companies typically use the dividend remittance rate to translate the net assets of a foreign operation, because this is usually the rate that would apply if funds from the foreign operation were remitted to the parent at the reporting date. However, the ability to exchange foreign currencies might impact the exchange rate to be used.

Any significant accounting policies and judgements made in determining the rate should be disclosed in accordance with the requirements in paragraphs 117 to 124 of IAS 1.

Relevant guidance:

MoA FAQ 49.44.2 – When would it be inappropriate to use an average exchange rate to translate a foreign subsidiary?

13.3 Impairment and disposals of foreign operations, assets and liabilities

Geopolitical conflict could result in deconsolidation, disposal or the abandonment of foreign operations, which might, in turn, result in the recognition of possible discontinued foreign operations, or foreign assets held for sale (refer to section 3.7 and section 3.8). The disposal or abandonment of a foreign operation could trigger an impairment of underlying assets and liabilities in the consolidated financial statements (refer to section 3.1).

A disposal of a foreign operation would result in the reclassification of the cumulative translation adjustment (CTA) that has been recorded in equity attributable to that subsidiary. Disposals might occur either through sale, liquidation, repayment of share capital or a quasi-equity loan, or abandonment of all (or a part) of the entity. A partial disposal is a reduction in an entity's 'ownership interest' in a foreign operation, other than loss of control, significant influence or joint control.

[IAS 21 para 32].

However, an impairment of the carrying amount of a foreign operation, which might arise as a result of a liquidation or abandonment, does not constitute a partial disposal. CTA is not reclassified to profit or loss at the time of the impairment.

[IAS 21 para 49].

Relevant guidance:

MoA EX 49.60.1 – Summary of disposals, partial disposals and effect on cumulative translation adjustment
MoA FAQ 49.29.1 – Will an impairment loss arise in an entity's functional currency if there is an impairment loss on a foreign currency asset when measured in the foreign currency?
MoA EX 49.37.1 – Translation of an impaired foreign asset

13.4 Disclosures in the financial statements

In accordance with IFRS 7, entities should disclose their sensitivity to market risks, which will include foreign exchange rates. The sensitivity analysis should show the effect of changes over the period until the entity next presents these disclosures, which is usually its next annual report. This disclosure is based on reasonably possible changes and not on a 'worst case scenario' or 'stress test'.

In addition, entities should disclose the methods and assumptions used in preparing the sensitivity analysis, and changes from the previous period in the methods and assumptions used and the reasons for such changes.

[IFRS 7 App A].

Relevant guidance:

MoA FAQ 47.111.2 – Should prior year disclosures be restated if the magnitude of reasonably possible change is different?

14. Regulators

Regulators might issue guidance relating to the accounting implications of geopolitical events. Regulated entities should take note of any guidance issued by regulators when preparing their financial statements.

For example, on 13 May 2022, the European Securities and Markets Authority ('ESMA') issued a Public Statement, 'Implications of Russia's invasion of Ukraine on half-yearly financial reports'. The Statement was issued to promote transparency and consistent application of European requirements for information provided in half-yearly financial reports with regard to Russia's invasion of Ukraine.

Illustrative text

Sanctions and restrictions

FAQ 2.1 – What are the implications when banks in a sanctioned jurisdiction are restricted access to the SWIFT (Society for Worldwide Interbank Financial Telecommunication) system?

Reference to In Depth standing text: 3.1

Background

The SWIFT system is a ‘wire messaging’ system between banks that allows for rapid movements of funds across borders and between different banks.

Question

What are the implications when banks in a sanctioned jurisdiction have restricted or no access to the SWIFT system?

Answer

Limitations on the SWIFT system mean that alternative payment mechanisms must be used to transfer funds within the banking system. This could limit the ability of customers to pay loans, settle receivables, or receive funds, hence it could impact the timing of payments and/or receipts. This, in turn, might affect the measurement of assets (financial and non-financial), as well as requiring an assessment of whether contracts have been breached as a result of failure to pay when required by a contract.

Non-financial assets

FAQ 3.1.1 – Is a geopolitical conflict an impairment indicator?

Reference to standard: IAS 36 para 12
Reference to In Depth standing text: 3.1

Many businesses will be impacted to some degree by the sanctions or other consequences of a geopolitical conflict. IAS 36 requires management to consider, at each reporting date, whether there is any indication that an asset might be impaired. IAS 36 includes both internal and external indicators to identify if an impairment review is required.

The following impairment indicators might be relevant:

- actual financial performance is significantly lower than the original budget;
- cash flow is significantly lower than earlier forecasts;
- material changes in medium-term and/or long-term growth rates as compared to the previous estimates;
- market capitalisation less than book value of net assets;
- announced change in business model, restructuring, discontinued operations, etc;
- restrictions on operations such as inability to import, export or travel, including those imposed via economic sanctions;
- provisions in critical customer or supply agreements that could trigger pricing changes, penalties or termination;
- increase in the entity’s cost of capital;
- inability to repatriate funds of a subsidiary because of long-term exchange restrictions;
- change of market interest rates or other market rates of return;
- fluctuations in the foreign exchange rates;
- disruption to the supply chain that could impact product costs, cause delays/inability to source product and increase costs of natural gas and crude oil, as well as other commodity costs that impact the entity’s cash flows;
- idling or abandoning an owned or leased facility in, or used to support operations in, impacted territories;
- threats of expropriation (nationalisation) of assets/operations in the affected regions;
- workforce reductions and related implications;
- absence of access to global payments systems and technologies;
- deferral or abandonment of investment projects; and
- significant or prolonged decrease in the entity’s stock price.

This list is not comprehensive and other indicators might present themselves. The indicators above and in the standard are examples only.

FAQ 3.1.2 – Should the business plan prepared by management be revised to incorporate the impacts of geopolitical conflicts?

Reference to standard: IAS 36 para 39
Reference to In Depth standing text: 3.1

Question

Should the business plan prepared by management be revised to incorporate the impacts of geopolitical conflicts?

Answer

Yes. Cash flows used for impairment testing should be based on a business plan that reflects the expected and most current developments and impacts of any geopolitical conflicts and their consequences. When measuring value in use, an entity should base cash flow projections on the most recent financial budgets/forecasts approved by management. Reliance on a previously approved forecast might not be appropriate in the current market conditions. Assumptions and forecasts applied to impairment tests should be consistent with those used for the application of other standards.

The assumptions used in determining a recoverable amount (value in use, or fair value less costs of disposal) need to be reasonable and supportable. In the context of uncertainty:

- Management assumptions should be consistent with market evidence, such as independent macroeconomic forecasts, industry commentators or analysts, brokers' analysis and other third-party experts. Greater weight should be given to credible external evidence that is available.
- Any differences between the business plan's underlying assumptions and market evidence should be analysed and understood. Management might find it helpful to explain these differences in the financial statement disclosures or other material accompanying the financial statements.
- Management should understand any differences between fair value less costs of disposal and value in use, and it should ensure that they are understood and supportable.

See FAQ 3.1.4 for the impact on discount rates.

FAQ 3.1.3 – How can impairment tests that incorporate cash flow forecasts be more reliably performed in periods of geopolitical uncertainty?

Reference to standard: IAS 36 paras A4, A7
Reference to In Depth standing text: 3.1

Question

How can impairment tests that incorporate cash flow forecasts be more reliably performed in periods of geopolitical uncertainty?

Answer

Two approaches to constructing the cash flow model supporting an asset or cash-generating unit ('CGU') can be considered:

- The 'traditional' approach (a single predicted outcome), which consists of using a 'single set of estimated cash flows and a single

discount rate' taking into account the 'appropriate' discount rate. [IAS 36 paras A4]. Uncertainties are reflected through the risk premium included in the discount rate.

- The 'expected cash flow' approach, which consists of using 'all expectations about possible cash flows instead of the most likely cash flow'. [IAS 36 App A para A7]. Uncertainties are reflected through multiple probability-weighted cash flow scenarios.

A basic assumption in calculating discount rates is that the expected cash flows fully reflect the uncertainties related to the current economic environment. Theoretically, the above two approaches should provide the same result. However, this relies on a degree of precision in the estimates under the 'traditional' approach that might be difficult to achieve.

Management should consider probability-weighting different scenarios to estimate the expected cash flows. This should enable an understanding of the range of potential outcomes for an asset or a CGU and its attached risks – for example:

- a 'business as usual' scenario;
- a scenario with short-/medium-term disruption; and
- a scenario with a broader and longer period of negative impact.

The 'expected cash flow' approach has, among others, the following advantages in an environment of higher uncertainty:

- The sensitivity of the recoverable amount to uncertainties is explicit in the measurement, compared to the 'traditional' approach where it is factored into the discount rate.
- It enables management to assess the uncertain assumptions that might have the most significant impacts on the recoverable amount.
- It calculates a range of expected cash flows instead of only considering the most likely case.
- It might be more aligned with the way in which management prepares forecasts in periods of uncertainty resulting from geopolitical conflicts.
- It lessens the impact of the judgemental exercise inherent in adding a single specific risk premium to the discount rate, which might be difficult to quantify and support in documentation.

Management might seek to apply the 'traditional' approach, for example, in response to an unexpected change in circumstances in a short space of time, which means that it cannot rigorously adjust cash flows in a timely fashion. In these situations, additional analysis might need to be performed, to consider and assess the reasonableness of the cash flow impacts implied by the risk premium.

For these reasons, we recommend that discount rate adjustments to correct for optimistic cash flow scenarios are not best practice. This is because, without additional analysis, the concluded risk premium might under- or over-state the correction.

See also FAQ 4.6.5 on uncertainties in cash flows and change in valuation technique for level 3 fair value measurement.

FAQ 3.1.4 – What are the consequences of geopolitical uncertainty on the discount rate?

Reference to standard: IAS 36 para 32
Reference to In Depth standing text: 3.1

The discount rate should reflect:

- the current market assessments of time value of money for the periods until the end of the useful life of the asset/cash-generating unit (CGU);
- market, country and any other risks specific to the asset/CGU for which the future cash flow estimates have not been adjusted; and
- any other factors that market participants would reflect in pricing the expected future cash flows.

As a starting point in calculating such a rate, management might use the weighted average cost of capital.

Despite any uncertainties in the economic environment, the established methods for calculating the cost of capital should continue to be used. However, a reassessment of each input into the calculation and assessment of the overall result is needed. Certain observable inputs that go into the calculation of the cost of capital (such as risk-free rate) might have significantly changed. For many companies, the cost of debt might have increased, but this needs to be considered on a company-by-company basis. At the same time, increased volatility and other indicators point to an increase in the cost of equity. In addition, the heightened focus on liquidity might, for some industries, result in an optimal capital structure that is more weighted towards equity than in the past. Taken together, this means that, for many companies and sectors, the cost of

capital might be higher than it was previously.

The discount rate does not, however, simply result from the application of a formula. It requires the exercise of judgement based on the overall valuation exercise. In particular, if the cash flows are not believed to incorporate a sufficient level of risks (for instance, by probability-weighting different scenarios to estimate the expected cash flows) and therefore cannot be considered as the expected cash flows, the discount rate might need to be adjusted upwards. However, management should first attempt to adjust the cash flows prior to making any adjustments to the discount rate, because it is generally difficult to estimate and support the amount by which the discount rate should be adjusted (see FAQ 3.1.3). To the extent that uncertainties are not reflected in cash flows (for example, through probability-weighting), they might have to be reflected as an additional specific risk premium in the discount rate. The premium needs to be calibrated to the nature and amount of uncertainty not fully captured in the forecast.

FAQ 3.1.5 – Impact of country and currency risk on discount rate

Reference to standard: IAS 36 para 55
Reference to In Depth standing text: 3.1

Background

A German entity carries significant goodwill and indefinite-lived intangible asset balances in its consolidated balance sheet. These arose from multiple acquisitions in recent years. The entity manufactures goods in Germany that are sold throughout the European Union and exported to a sanctioned territory. All sales are made in Euros. The entity's functional currency is the Euro, and its financial statements are presented in Euro.

In carrying out its impairment review under IAS 36, management proposes to use a discount rate based on the Euro-zone risk-free rate, market risk premium and a country risk premium. This discount rate will be applied to the Euro-denominated cash flow projections for each CGU.

Question

Is management's approach, of adding a country risk premium to the risk-free rate and market risk premium when calculating the discount rate, correct?

Answer

Yes, in this fact pattern, management's approach is correct. A separate country risk premium is likely required to adjust the discount rate for the additional risk associated with those cash flows from operations in sanctioned territories. See MoA EX 24.105.2 for CGUs that derive cash flows from territories with risk profiles that differ from the CGU's territory.

It is always important to ensure consistency between the assumptions underlying the projected cash flows and the discount rate. See FAQ 3.1.2 for use of the expected cash flow approach.

FAQ 3.1.6 – Level at which impairment testing is performed

Reference to standard: IAS 36 App C
Reference to In Depth standing text: 3.1

As a consequence of a conflict, entities might have impairment indicators for assets, cash-generating units (CGUs) and groups of CGUs. The assets and CGUs will then be tested for impairment under IAS 36. These CGUs might include goodwill, or they might be part of a larger group of CGUs that include goodwill. A question arises as to which level an entity tests first for impairment: goodwill and then the underlying CGUs (that is, 'top down'); or the CGUs and then related goodwill (that is, 'bottom up').

IAS 36 requires a 'bottom up' approach to impairment testing. The impairment test is a two-step process:

Step 1: Test the individual asset, or the CGU to which the asset belongs if the recoverable amount for the individual asset cannot be determined. Any impairment should be recognised at this step, to reduce the carrying amount to the recoverable

amount. Testing performed at the CGU level would include goodwill to the extent that goodwill is monitored at this level.

Step 2: Test the CGU or group of CGUs including goodwill. This second stage is a comparison of the recoverable amount with the restated carrying amount after the step 1 impairment test.

The two-stage approach ensures that, where there are indicators of impairment, assets and CGUs within a group of CGUs are tested separately for impairment first, with any impairment recognised before the larger group including goodwill is tested. [IAS 36 para 98].

Due to the different levels of impairment testing required, it is important that CGUs are correctly identified as the smallest group of assets that generate cash inflows that are largely independent of each other. Impairments should not be masked by incorporating additional assets and cash flows from the same operating segment.

Illustrative example

An entity acquired a group of entities some years ago. One of its subsidiaries, entity A, is located in a sanctioned territory. At the current period end, due to the geopolitical conflict and economic sanctions, there is an indicator that entity A might be impaired. Entity A is a CGU. Value in use is higher than fair value less costs of disposal for entity A, and so it is taken as the recoverable amount.

Scenario A – Recognition of impairment where goodwill has been allocated to the CGU

The carrying value of entity A and its recoverable amount are compared, as follows, to determine the impairment loss:

Cash generating unit	**A**
	C'm
Net assets attributable to CGU	220
Goodwill (allocated to and monitored at CGU A level)	40
Total net assets attributable to CGU	260
Value in use of CGU	200
Impairment	60

Where goodwill from a business combination is allocated to the individual CGU, there is an impairment loss of C60 million in entity A, reducing the carrying value of its net assets and goodwill to C200 million. C40 million of the impairment loss is attributed to the full write-off of goodwill, and C20 million is then attributed to other assets on a pro rata basis.

The carrying values, after recognising the impairment loss, are as follows:

Carrying value after impairment A	**A**
	C'm
Net assets attributable to CGU	200
Goodwill	-
Total net assets attributable to CGU	200

Scenario B – Recognition of impairment where goodwill has been allocated to a group of CGUs

In this scenario, goodwill is monitored at a group of CGUs that include entity A. The entity first calculates impairment loss (if any), based on entity A's net assets excluding goodwill, and it then tests goodwill against the group of CGUs:

Cash-generating unit A	**A**
	C'm
Net assets	220

Value in use of CGU	200
Impairment	20

Entity A's net assets are reduced, by the impairment loss, to C200 million (allocation of the impairment loss is on a pro rata basis).

In order to test goodwill, the entity then tests the group of CGUs that includes entity A and to which goodwill has been allocated. The group of CGUs consists of the operations of entities A and B combined. (The impairment test of this group of CGUs should be done at the same time annually, and at any reporting date where there is an indication of impairment, because it contains goodwill.) The calculation of the impairment loss is then as follows:

Cash-generating unit	**A**	**B**	**Goodwill**	**Aggregated CGUs**
	C'm	C'm	C'm	C'm
Net assets (based on step 1 of impairment testing)	200	110	80	390
Value in use	200	180		380
Impairment	-	-	10	10
Carrying values after impairment	**A**	**B**	**Goodwill**	**Larger CGU**
	C'm	C'm	C'm	C'm
Net assets	200	110	70	380

The total impairment charge is thus C30 million, being C20 million from the first stage and C10 million from the second stage. This is the difference between the carrying amount of entity A's assets of C220 million and their revised carrying amount of C200 million, plus the difference between the carrying amount of goodwill of C80 million and its revised carrying amount of C70 million.

If goodwill had incorrectly been tested first, all of the impairment (C30m) would have been allocated to goodwill (reducing goodwill to C50m), and the assets of entity A would not have been impaired. However, because there is an indicator of impairment in entity A, the subsequent test of entity A would reveal a C20 million impairment based on its value in use of C200 million, resulting in total impairments of C50 million and net assets of C360 million (C200m + C110m + C50m) when total 'value in use' cash flows are C380 million.

FAQ 3.1.7 – Is an entity permitted to change the timing of its annual impairment test of goodwill in response to a major geopolitical event, if the test was not historically performed at year end?

Reference to standard: IAS 36 para 96
Reference to In Depth standing text: 3.1

Background

Many businesses will be required to test for impairment as a result of a geopolitical conflict. The annual impairment test for

(groups of) CGUs to which goodwill belongs can be performed at any time during the year, provided that the test is performed at the same time every year. [IAS 36 para 96]. An entity might choose to perform its impairment test at a less busy time of the year (for example, not at year end).

Entities might expect that the impact of a conflict will have lessened by their period end as the level of uncertainty might have reduced as well, and they might want to delay their normal goodwill impairment testing process to take account of this.

Company A has historically performed its annual goodwill impairment test at 31 March rather than at its 31 December year end. The company does not prepare IAS 34-compliant interim reports. A major geopolitical conflict commenced in February 20X2 and the company identifies an impairment of goodwill when performing the annual impairment test at 31 March 20X2.

Company A believes that, by late in the financial year ending 31 December 20X2, significant progress could be made to resolve the conflict, and, looking forward, the impact of this conflict on the company could be materially reduced.

Question

Is the company permitted to change the timing of the impairment test of goodwill, and consequent recognition of any impairment to year end, to reflect the year end recoverable amount?

Answer

No. It is not acceptable to extend the period between annual tests beyond 12 months. Company A should not defer the test because it believes that the impact of the conflict will have lessened by year end.

Company A is required to perform its annual testing at the same time every year, and so cannot avoid the 31 March test, and it must book any impairment loss identified. [IAS 36 para 96]. Company A would not be able to reverse any goodwill impairments recognised at the annual goodwill test date, but it might be able to reverse any non-goodwill impairments (such as property, plant and equipment) at future reporting dates (see FAQ 10.2.1).

When performing the annual impairment test, company A assesses the available information regarding the impact of the conflict that started in February 20X2 and incorporates this in its impairment testing. For both ‘value in use’ and ‘fair value less costs of disposal’ tests, this requires judgement and an analysis of the facts and circumstances. When considering what information to incorporate, FAQs 10.2.1 and 10.2.2 might provide additional guidance.

Company A might be required to test again at year end if additional indicators of impairment (or impairment reversal) arose in the intervening period.

Note that, if an entity had already performed an impairment test for previous IAS 34 interim reporting during the year, the annual goodwill impairment test must still be performed.

FAQ 3.1.8 – How are future cash flows determined if the entity intends to abandon its activity?

Reference to standard: IAS 36 para 39
Reference to In Depth standing text: 3.1

Company A, with its head office in the US, announced that it would abandon its operations in a sanctioned territory. Until the asset is actually abandoned (that is, use has ceased), it is tested for impairment as an asset that is held and used. Estimates of future cash flows used to test the recoverability of the asset group should include only the future cash flows that are directly associated with, and that are expected to arise as a direct result of, the use and eventual disposition of the asset group. However, because the entity will not sell the asset, there will be no cash inflows from eventual disposition.

FAQ 3.2.1 – Which impairment disclosures will be of particular interest to users of financial statements in periods of

geopolitical conflict?

Reference to standard: IAS 36 Illustrative example 9
Reference to In Depth standing text: 3.2

Users such as investors, financial analysts and regulators typically focus on obtaining detailed and current information in periods of market turbulence. IAS 36, IAS 1, IAS 10 and IAS 34 all prescribe relevant disclosures. Also, for listed entities, regulators of the relevant exchange might often have specific requirements that should be incorporated in the financial statements to the extent that they provide meaningful information to the readers of the financial statements and reflect management's views and judgements when assessing recoverable amounts.

The critical disclosures for interim and annual reporting cycles will be related to sensitivity analyses (that is, key assumptions that have a significant risk of causing a material adjustment to the carrying amount of assets, including goodwill). These key assumptions should not be restricted to discount rates or growth rates, but they might also include expected profit margins and other highly sensitive assumptions that could have a significant impact on future cash flows. Other disclosures that are relevant, where a reasonably possible change in assumptions would lead to a heightened risk of impairment, include:

- a description of the asset/cash-generating unit (CGU) being tested;
- the amount by which the recoverable amount exceeds the carrying value;
- the values assigned to the key assumptions used in the sensitivity analysis;
- the amount by which the key assumptions would have to change where the change would result in the recoverable amount equalling the carrying amount (for example, an entity might disclose that a 1% increase in the pre-tax discount rate would reduce its recoverable amount to equal its carrying amount); and
- the aggregate carrying amount of goodwill allocated to the CGU(s) and the aggregate carrying amount of intangible assets with indefinite useful lives allocated to the CGU(s).

IAS 34 generally requires relatively less disclosure than would be required in an annual set of financial statements. However, the principle in IAS 34 is to provide an explanation of the events and changes that are significant to an understanding of the changes in financial position and performance of the entity since the end of the last annual reporting period. When geopolitical events cause significant developments since the last annual report, an entity's interim financial statements would likely be more detailed than in previous years.

FAQ 3.3.1 – What are the implications, in the significant influence assessment, of an entity that decides to remove directors from the board in the context of a geopolitical conflict?

Reference to standard: IAS 28 para 3
Reference to In Depth standing text: 3.3

Aside from restrictions imposed by governments, multinational entities might decide to withdraw from business interests that they have in territories that have been sanctioned or are otherwise impacted by a geopolitical conflict. As part of the process, entities might remove themselves from the board of directors of businesses in impacted territories. Removal of directors from the board might indicate that the multinational entity no longer has significant influence over the business, if the multinational's power to participate in the decision-making of the business was established through representation on the board of directors.

Significant influence is the power to participate in decision-making, but not control or joint control. [IAS 28 para 3]. IAS 28 does not define 'power'. IFRS 10 does, however, define power as *"existing rights that give the current ability to direct the relevant activities"*. [IFRS 10 App A]. At the same time that IFRS 10 was issued, IAS 28 was amended, but it did not provide any further guidance on significant influence. Since IAS 28 does not provide any specific guidance on the interpretation of 'power', and IFRS 10 guidance was issued more recently, it would be acceptable to consider the IFRS 10 definition of power in the context of IAS 28. An investor would therefore have significant influence if it has existing rights that give it the current ability to participate in decision-making.

The removal of directors from the board would not necessarily result in the loss of significant influence. Management would need to consider whether it continues to have the *right* to appoint directors to the board and therefore participate in the

decision-making of the business. This assessment might require significant judgement, and entities might need to obtain a legal opinion on the matter.

Regarding loss of joint control, please refer to FAQ 3.8.2.

FAQ 3.3.2 – What are the implications, in the significant influence assessment, of an entity that is required to remove directors from the board in the context of a geopolitical conflict?

Reference to standard: IAS 28 para 3
Reference to In Depth standing text: 3.3

As a consequence of governmental legislation, a multinational entity might be required to remove its appointed directors from the board of entities in certain jurisdictions and might not have the right to reappoint replacement directors.

If the multinational entity's power to participate in the decision-making of the business was established as a result of representation on the board of directors, removal of directors from the board (and its inability to reappoint directors to the board) indicates that the multinational entity no longer has the ability to participate in the decision-making of the business while the related legislation remains in force. In this case, the removal of the multinational entity's right to representation on the board would result in it no longer having significant influence over the business in the related territory.

FAQ 3.4.1 – How is overhead cost allocated to inventory where the number of units produced is reduced due to a geopolitical conflict?

Reference to standard: IAS 2 paras 10, 11, 13
Reference to In Depth standing text: 3.4

Geopolitical conflicts can impact entities in many ways. Manufacturing sites might be closed or run at a lower capacity due to sanctions and restrictions imposed by governments, an inability to operate in certain regions or changes in consumer behaviour and demand. These changes could impact the number of inventory units produced.

IAS 2 requires fixed production overheads to be included in the cost of inventory based on normal production capacity. The amount of fixed overhead allocated to inventory is not increased as a result of low production. Consequently, reduced production will result in unabsorbed fixed overheads, which will be charged to the income statement in the period in which they are incurred.

Example – how to allocate overhead cost to inventory

The following is relevant information for entity A:

- Normal capacity is 7,500 labour hours per quarter.
- Actual labour hours for Q1 are 3,000 hours, because the factory was closed partway through Q1 due to external sanctions.
- Total fixed production overhead is C1,500.
- Total variable production overhead is C2,700.
- Total units produced in Q1 are 3,000 units, because the factory was run at reduced capacity.

Management should allocate overhead costs to units produced at a rate of:

- fixed production overhead (fixed production overhead/labour hours for normal capacity) C1,500/7,500 = C0.2 per hour; and
- variable production overhead (variable production overhead/actual hours) C2,700/3,000 = C0.9 per hour respectively.

Therefore, fixed production overhead allocated to 3,000 units produced during Q1 (one unit per hour) = 3,000 × C0.2 = C600. The remaining C900 (C1,500 – C600) of overhead incurred that remains unallocated is recognised as an expense.

FAQ 3.7.1 – Abandonment and discontinued operations

Reference to standard: IFRS 5 para 32
Reference to In Depth standing text: 3.7

An operation to be abandoned cannot be treated as an asset held for sale before it has actually been abandoned. However, when the operation has actually been abandoned, IFRS 5 requires the operation's results and cash flows to be presented as discontinued operations (provided that it meets the criteria to qualify as a discontinued operation set out in paragraph 32(a)–(c) of IFRS 5). The results for the comparative period are re-presented.

While an operation to be abandoned might qualify to be treated as discontinued for the purpose of the income statement and cash flow statement, this will only be after the abandonment has been completed. Until that point, the results will be accounted for as normal in those statements, and the assets and liabilities will be included in the normal line items in the balance sheet (because they are not held for sale). After abandonment, balance sheet presentation is not relevant, because the assets and liabilities have been derecognised. The comparative balance sheet is not re-presented in respect of discontinued operations.

Even if an operation does not meet the definition of a discontinued operation (because it is being abandoned but the abandonment is not complete), there might be individual non-current assets or disposal groups within that operation that meet the criteria to be classified as held for sale. If this is the case, they should be measured and presented accordingly.

FAQ 3.7.2 – How should the impairment loss be allocated?

Reference to standard: IFRS 5 paras 15, 23
Reference to In Depth standing text: 3.7

Question

How should impairment loss be allocated?

Answer

Guidance in IFRS 5 on determining the amount of impairment loss is not clear. There are two different approaches that could be followed.

The first potential approach follows the guidance in paragraph 23 of IFRS 5, which states that an impairment loss on a disposal group is allocated to the non-current assets within IFRS 5's scope and is limited to the carrying value of those assets. Other assets and liabilities are measured in accordance with applicable IFRS Accounting Standards in both initial and subsequent measurement of the disposal group. As a result, any impairment loss in excess of the carrying amount of the non-current assets will be recognised on disposal.

The second approach is to allocate the impairment loss to all of the assets within the disposal group, not just the non-current assets. This view is supported by paragraph 15 of IFRS 5, which states that an entity should measure a non-current asset (or disposal group) classified as held for sale at the lower of its carrying amount and fair value less costs to sell. In addition, the standard states that, if a non-current asset within the scope of the measurement requirements of IFRS 5 is part of a disposal group, those measurement requirements apply to the group as a whole, so that the group is measured at the lower of its carrying amount and fair value less costs to sell. Under this view, a separate liability would not be recorded for any impairment in excess of that which can be allocated across all of the assets of the disposal group, because the definition of a liability in IAS 37 has not been met.

FAQ 3.8.1 – Does an entity lose control over its subsidiaries as a consequence of foreign exchange and trade restrictions imposed by governments in the event of a geopolitical conflict?

Reference to standard: IFRS 10 para B83
Reference to In Depth standing text: 3.8

Government restrictions imposed as a result of a geopolitical conflict might include a ban on payment of dividends to international investors and international sanctions which impact an entity's ability to trade with and/or remit profits from impacted territories. This might indicate that an entity loses control over its foreign subsidiary; this is because the investor could cease to be entitled to receive returns from its involvement with the investee.

If a parent continues to direct the relevant activities of its investee in such jurisdictions, it would meet the power criterion.

Paragraph B83 of IFRS 10 states, *"An investor that has power over an investee can lose control of an investee if the investor ceases to be entitled to receive returns or to be exposed to obligations".* Uncertainty about repatriation of profits and exchange restrictions alone are unlikely to mean that an investor is no longer exposed to variable returns. The investor is still entitled to the variable returns, but there might currently be uncertainty as to how or when the investor can realise those returns. However, each situation should be addressed on its individual merits.

FAQ 3.8.2 – What are the implications, in the control assessment, of an entity that decides to remove directors from the board in the context of a geopolitical conflict?

Reference to standard: IFRS 10 para 10
Reference to In Depth standing text: 3.8

Aside from restrictions imposed by governments, multinational entities might decide to withdraw from business interests that they have in territories that have been sanctioned or are otherwise impacted by geopolitical conflict. As part of the process, they might remove their appointed directors from the board of directors.

An investor has power over an investee where the investor has *existing rights* that give it the current *ability* to direct the investee's relevant activities. [IFRS 10 para 10]. Even though a multinational entity might have elected to remove its directors from the board of an investee, it might still continue to have the legal right to appoint/reappoint directors. The removal of directors by the entity, on its own, is therefore unlikely to result in the entity losing power over a business.

Different multinational parents might find themselves in different circumstances, and each fact pattern should be carefully considered. Entities might wish to obtain legal advice to determine whether the restrictions imposed by sanctions affect an entity's rights to be involved in decision-making of the entity.

Financial instruments

FAQ 4.1 – What are factors to consider when reflecting impacts of a geopolitical conflict in

the accounting for an existing financial instrument within the scope of IFRS 9?

Reference to standard: IFRS 9 paras 3.3.1, 5.4.4, 6.5.6, B4.3.11, B5.4.6; IFRS 7 para 39; IAS 39 paras 91(a), 101(a)
Reference to In Depth standing text: 4

Question

When accounting for an existing financial instrument within the scope of IFRS 9, there are a wide range of possible impacts that could arise from the geopolitical conflicts and related responses, such as sanctions and other governmental actions, depending on individual facts and circumstances. What are relevant factors to consider in first identifying these, and then in reflecting them in the accounting of a financial instrument?

Answer

Since IFRS 9 is a contract-based accounting standard, understanding any impacts on an instrument's contractual terms is a fundamental first step. This might be complex and require input from legal experts. Once these contractual impacts have been understood, the appropriate accounting requirements can then be applied, which might range across (de)recognition, measurement, presentation and/or disclosure. One way of doing this is to consider each of the following questions in sequence:

1. Understanding the contract:
    a. What are any direct impacts of the geopolitical conflict on the instrument's existing contractual terms?
    b. What are any indirect impacts of the geopolitical conflict on the instrument's existing contractual terms?
    c. What are any other impacts on the instrument's contractual terms?
2. Direct accounting impacts:
    a. What impacts are there on the (de)recognition of the financial instrument?
    b. What impacts are there on the measurement of the financial instrument from:
        i. contractual changes identified in questions 1a–1c above; or
        ii. other factors?
    c. What impacts are there on the presentation of the financial instrument?
    d. What impacts are there on the disclosure of the financial instrument?
3. Indirect accounting impacts:
    a. What indirect accounting impacts arise from any direct accounting impacts?

Each of these questions is discussed in more detail below. However, the examples provided are not intended to be exhaustive, but rather illustrations of potential factors to consider when analysing a particular financial instrument or group of financial instruments. Therefore, even when particular types of financial instrument, such as equity investments or financial guarantees, are not included in the examples, they should still be considered for possible impacts. There are also many other possible accounting impacts not included in the examples provided. Please refer to other separate FAQs for more details on these.

1a What are any direct impacts of the geopolitical conflict on the instrument's existing contractual terms?

Examples include the following:

- The contractual terms of a loan might include terms relating to sanctions that could treat the imposition of sanctions as an event of default. That might result in:
    - any undrawn commitments being terminated;
    - default interest being charged that is higher than the normal interest rate;
    - the principal amount of the drawn loan and any accrued but unpaid interest automatically becoming immediately due and payable on demand; and/or
    - the lender having an option to require immediate repayment of the principal amount of the drawn loan and any accrued but unpaid interest, or to waive the event of default.
- The contractual terms of a loan might allow US dollar (USD) payment obligations to be satisfied by delivering an equivalent amount of foreign currency, as calculated using the official USD/foreign currency spot exchange rate at the date of payment, so that, before the conflict began in the territory of the foreign currency, the loan was viewed as being USD-denominated. Where that official USD/foreign currency spot exchange rate is no longer considered to be a market rate or is inaccessible, the contract might be exposed to new risks.

1b What are any indirect impacts of the geopolitical conflict on the instrument's existing contractual terms?

Examples include the following:

- The contractual terms of a collateralised derivative might treat a failure to deliver cash to fulfil a margin call, as a result of sanctions prohibiting such a payment, as an event of default. That might cause the derivative contract to terminate immediately, creating a cash receivable or payable for the fair value of the derivative at the point of termination less the value of the cash collateral held.
- A bond might include cross-default clauses within its contractual terms, so that defaults on other liabilities cause the bond's principal amount and any accrued but unpaid interest to automatically become immediately due and payable on demand.

1c What are any other impacts on the instrument's contractual terms?

Examples include the following:

- A new law might cause a contractual right or obligation in a financial instrument's terms to be extinguished or modified in some way.

2a What impacts are there on the (de)recognition of the financial instrument?

Examples include the following:

- Where an entity concludes that it has no reasonable expectation of recovering a loan asset (either a portion or the entire amount), it should write off the relevant amount in accordance with paragraph 5.4.4 of IFRS 9.
- Where the introduction of a new law causes the extinguishment of a contractual obligation to make cash payment(s), that would typically result in derecognition of amounts relating to such cash payment(s) under paragraph 3.3.1 of IFRS 9. However, the interaction of a financial instrument's contractual terms with wider laws and regulations can be complex.
- Where a failure to meet a margin call results in a collateralised derivative terminating immediately, creating a cash receivable or payable under the contract for an amount equal to the fair value of the derivative at the point of termination less the value of the cash collateral held, the derivative financial asset/liability should be derecognised and a cash receivable/payable recognised. The derivative might require remeasurement for changes in fair value up until the point of termination, and any cash receivable recognised would need to be initially measured at fair value incorporating credit risk and might need to be classified as 'purchased or originated credit-impaired' (POCI).

2b What impacts are there on the measurement of the financial instrument?

This question should be considered in respect of measuring both:

- changes to contractual cash flows identified by questions 1a–1c above; and
- other impacts that arise even when the contractual cash flows themselves are unchanged.

Examples include the following:

- Where a loan becomes immediately payable on demand, the estimated contractual cash flows should be revised and remeasured under paragraph B5.4.6 of IFRS 9, with the resulting gain or loss recognised immediately in profit or loss.
- Where an amortised cost loan includes contractual terms that permit settlement in a currency different from the denomination of the loan, any revisions to the estimated cash flows as a result of those terms would be reflected in a remeasurement under paragraph B5.4.6 of IFRS 9, assuming (in the case of a financial liability) that they are not bifurcated as a non-closely related embedded derivative.
- Where sanctions and the resulting business impacts prevent a borrower from making payments on a bond asset classified by the holder as fair value through other comprehensive income (FVOCI), the impact of those restrictions would need to be reflected by the holder in the measurement of ECL (including the potential transfer to 'stage 3' as credit-impaired), as well as in the fair value of the bond.

It should be noted that 'solely payments of principal and interest' (SPPI) is only assessed for financial assets at initial recognition, and that assessment is not subsequently revisited unless an instrument is derecognised and re-recognised for accounting purposes. For financial liabilities and non-financial hosts, the assessment of whether to separate an embedded derivative is also not reassessed, unless the requirement in paragraph B4.3.11 of IFRS 9 is met.

2c What impacts are there on the presentation of the financial instrument?

Examples include the following:

- Amounts previously presented as 'cash equivalents' might need to be presented as receivables or similar items instead, if (assuming that an asset still exists) those amounts no longer meet the IAS 7 definition of 'cash equivalents' – for example, due to significant constraints on accessing the relevant funds (see MoA FAQ 7.46.1).
- Loan liabilities previously presented as non-current under IAS 1 will need to be presented as current where they have become

contractually repayable immediately.

2d What impacts are there on the disclosure of the financial instrument?

Examples include the following:

- A six-year loan liability, previously disclosed as 'Payable in five or more years' in the contractual maturity analysis required by paragraph 39 of IFRS 7, will need to be disclosed as 'Payable not later than one month' or 'Payable on demand' when failure to make a required interest payment, or a cross-default clause, triggers an event of default, so that the loan is repayable in full immediately.
- New cash liabilities might need to be included in the contractual maturity analysis required by paragraph 39 of IFRS 7 for contracts with the ability to settle in shares or physically in a commodity – where that is no longer possible due to sanctions, trading bans or new legal restrictions – so that cash will instead be required to be delivered.

Indirect accounting impacts

3a What indirect accounting impacts arise from any direct accounting impacts?

Examples include the following:

- The termination of a derivative that is designated in an accounting hedging relationship, due to its default on failure to deliver a margin call, would generally cause the hedge relationship to be terminated under paragraph 6.5.6 of IFRS 9 or paragraph 91(a) or 101(a) of IAS 39.
- Under IAS 12, current and deferred tax impacts might arise from the remeasurement or derecognition of a financial instrument.

FAQ 4.2.1 – Are government bonds that are issued by a sanctioned country but denominated in a foreign currency, and held by foreign investors who are impacted by the sanctions, credit-impaired under IFRS 9?

Reference to standard: IFRS 9 para B5.5.7
Reference to In Depth standing text: 4.2

Background

Consider a situation where a sanctioned country has historically issued government bonds denominated in EUR or USD and those bonds are held by foreign investors who are impacted by the sanctions (and any related countersanctions) imposed on the issuer.

Question

Are government bonds that are issued by a sanctioned country but denominated in a foreign currency, and held by foreign investors who are impacted by the sanctions, credit-impaired under IFRS 9 (that is, stage 3)?

Answer

Yes, in our view, these government bonds are generally considered credit-impaired.

Stage 3 includes financial assets that have objective evidence of impairment at the reporting date. For these assets, lifetime expected credit losses (ECL) are recognised and interest revenue is calculated on the net carrying amount (that is, net of credit allowance).

An entity should assess whether an asset is credit-impaired in accordance with its existing accounting policies. In our view, the following factors are indicators that such bonds are credit-impaired under IFRS 9:

Significant financial difficulty of the issuer: Major credit rating agencies might withdraw their ratings in order to comply with sanctions, leaving bonds 'unrated'. However, in some circumstances, those credit rating agencies might also continue to issue warnings of default or imminent default.

Significant restrictions and sanctions, or a significant number of entities ceasing operations in a particular territory, are also indicators of significant financial difficulties.

The disappearance of an active market because of financial difficulties: The disappearance of an active market because an entity's financial instruments are no longer publicly traded is not necessarily evidence of impairment; however, the disappearance of an active market, driven by restrictions and sanctions, could be evidence of financial difficulties.

Breach of contract, such as a default event: In accordance with paragraph B5.5.37 of IFRS 9, an entity applies a definition of 'default' that is consistent with the definition used for internal credit risk management purposes for the relevant financial instrument, and it can consider qualitative indicators (for example, financial covenants) where appropriate. However, because the accounting definition of 'default' does not necessarily align with the legal or regulatory definition of 'default' (refer to MoA FAQ 45.26.1 – Aligning the definition of default: regulatory versus accounting), an entity might still conclude that a foreign government has defaulted, even if there is no legal event of default, based on its internal definition for credit risk management purposes.

Qualitative factors to consider include the following:

- Restrictions and sanctions, which might mean, amongst other impacts, that the government of a territory will be restricted in its ability to raise new debt. Therefore, the repayment of the principal and interest on its bonds might be at significant risk of non-payment.
- Fluctuations in the value of the local currency and restrictions on the central bank's access to foreign currency reserves, which can result in uncertainty concerning the ability of the government to repay foreign currency-denominated bonds in a non-local currency, such as the USD or the Euro.
- A significant decrease in the market value of USD- and Euro-denominated foreign bonds.
- An economic downturn in the impacted jurisdiction.

Contractual terms: Entities should consider the individual contractual terms of the impacted government bonds and how any sanctions and restrictions might impact the ability to comply with those terms. For example, the maturity of the bonds could impact the likelihood of payment. As a consequence of the restrictions and sanctions imposed, along with an economic downturn, there could be more uncertainty around longer-term payments compared to those due in the short term (for example, because foreign currency reserves to which the territory has access might continue to dwindle).

FAQ 4.3.1 – What factors should be considered in assessing the 'highly probable' criterion for cash flow hedges of forecast purchases or sales in light of disruptions to the supply chain or sales process as a result of a geopolitical conflict?

Reference to standard: IFRS 9 para 6.3.3; IAS 39 para 88(c)
Reference to In Depth standing text: 4.3

Question

What factors should be considered in assessing the 'highly probable' criterion for cash flow hedges of forecast purchases or sales in light of disruptions to the supply chain or sales process as a result of a geopolitical conflict?

Answer

Entities often hedge risk exposures arising from forecast transactions (that is, anticipated transactions for which there is not yet a firm commitment). To qualify for hedge accounting, IFRS 9 requires, among other things, the forecast transaction to be highly probable.

The IFRS Glossary defines probable as 'more likely than not'. Therefore, in the context of forecast transactions, the term 'highly probable' indicates a much greater likelihood of happening than 'more likely than not'. This is consistent with the IASB's use of 'highly probable' in IFRS 5, where the term is regarded as implying a significantly higher probability than 'more likely than not'.

In assessing the likelihood that a transaction will occur in light of a conflict, there are a range of factors that might be relevant, depending on the particular facts and circumstances. These include, but are not limited to, the following:

- the financial and operational ability of the entity to carry out the transaction, including the considerations of any financial sanctions (for example, supply disruptions causing sales or purchase volumes to decrease);
- the entity's revised business plans as a result of the conflict;
- significant disruptions to particular activities; and
- the likelihood that transactions with substantially different characteristics might be used to achieve the same business purpose (for example, changing delivery methods for goods or services).

The above list is not exhaustive, and a holistic analysis tailored to the circumstances of the entity should be performed.

The length of time until a forecast transaction is projected to occur is also a factor in determining probability. Usually, the more distant in time a forecast transaction is, the less likely it is that the transaction would be regarded as highly probable, and the stronger the evidence that would be needed to support an assertion that it is highly probable. However, in some situations, the opposite might be true (that is, certain shorter-term transactions might no longer be highly probable, whereas longer-term transactions might still be highly probable), depending on the entity's assessment of the forecast duration of the conflict.

Where a forecast transaction is no longer highly probable, hedge accounting must be discontinued. The appropriate treatment of accumulated other comprehensive income related to such discontinued hedges will depend on whether the transaction is still expected to occur.

The following table sets out further considerations regarding accounting for discontinuance of cash flow hedges:

Discontinuance of cash flow hedges				
	Hedging instrument			Hedged item
Hedge termination events	Continue mark-to-market accounting	Derecognise from the balance sheet	Reclassify to P&L	Retain amounts in equity
	Note 1			Note 2
Hedging instrument no longer exists (that is, sold, terminated, extinguished, exercised or expired)		✓		✓
The hedge no longer meets the effectiveness criteria for hedge accounting (although the hedged item is still expected to occur)	✓			✓
The entity changes its risk management objective	✓			✓
The hedged future cash flows are no longer highly probable, but are still expected to occur	✓			✓
The hedged future cash flows are no longer expected to occur	✓		✓	
Variability of cash flow ceases (for example, the forecast transaction	✓			✓

becomes a fixed-price firm commitment)				

EX 4.3.2 – Recoverability test for hedging reserves

Reference to standard: IFRS 9 para 6.5.11
Reference to In Depth standing text: 4.3

Question

Global conflicts can result in volatility in commodity prices, foreign exchange rates and other market prices. This could lead to some entities experiencing significant losses on hedging instruments in cash flow hedges, resulting in debit balances being included in the cash flow hedge reserve. Does IFRS 9 require these debit balances to be tested for recoverability?

Answer

Yes. Paragraph 6.5.11(d)(iii) of IFRS 9 requires recoverability to be considered for losses in cash flow hedging reserves (that is, where the accumulated amounts are in a loss position). Where an entity expects that all or a portion of such losses will not be recovered in one or more future periods, it should immediately reclassify the amount that is not expected to be recovered to profit or loss.

IFRS 9 does not provide specific guidance on how the recoverability test should be applied, and entities should follow their existing accounting policies for the assessment of recoverability of these amounts. In addition, where such debit balances are significant, an entity should consider whether disclosure about the accounting policy – and about significant judgement in the application of that policy – is required in accordance with paragraph 122 of IAS 1.

Where commodity prices have increased and an entity has hedged sales of commodity production (for example, by entering into a fixed-price forward contract), it is less likely that an impairment will be necessary, because the entity's loss on the derivative will be economically offset with increases in the sales price of the commodity.

However, prior to assessing such debit balances for recoverability, the entity should consider whether recycling of such balances is required for other reasons (for example, if a forecast transaction is no longer expected to occur). See FAQ 4.3.1 regarding how a geopolitical conflict might impact the assessment of whether transactions continue to be highly probable, which affects the entity's ability to continue to apply hedging in future periods and which might impact recognition of hedging reserves.

FAQ 4.6.1 – Determining whether a market is still active in a period of market disruption

Reference to standard: IFRS 13 para B37
Reference to In Depth standing text: 4.6

Question

What factors should be considered when determining whether a market is active?

Answer

Paragraph B37 of IFRS 13 provides a list of factors to consider in determining whether there has been a significant decrease in the volume or level of activity in relation to normal market activity.

The factors that an entity should evaluate include (but are not limited to) the following:

1. There is a significant decline in the activity of, or there is an absence of, a market for new issues (that is, a primary market) for the asset or liability or similar assets or liabilities.
2. There are few recent transactions.
3. Price quotations are not developed using current information.
4. Price quotations vary substantially, either over time or among market makers (for example, some brokered markets).
5. Indices that previously were highly correlated with the fair values of the asset or liability are demonstrably uncorrelated with recent

indications of fair value for that asset or liability.

6. There is a significant increase in implied liquidity risk premiums, yields or performance indicators (such as delinquency rates or loss severities) for observed transactions or quoted prices when compared with the reporting entity's estimate of expected cash flows, taking into account all available market data about credit and other non-performance risk for the asset or liability.
7. There is a wide bid-ask spread or there are significant increases in the bid-ask spread.
8. Little information is publicly available (for example, a principal-to-principal market).

If an entity concludes that there has been a significant decrease in the volume or level of activity in the market for an asset or liability, the entity should perform further analysis of the transactions or quoted prices observed in that market. A significant decrease in activity on its own is not indicative that the transaction prices observed do not represent fair value. Nevertheless, further analysis is required, because the transactions or quoted prices might not be determinative of fair value, in which case adjustments might be necessary when using the information in estimating fair value.

FAQ 4.6.2 – Assessing prices in inactive markets

Reference to standard: IFRS 13 para B44
Reference to In Depth standing text: 4.6

Question

Can an entity disregard market prices of financial assets in an inactive market in periods of market volatility when determining the fair value of a financial asset?

Answer

Paragraph B44 of IFRS 13 provides guidance to be considered in evaluating observable transaction prices under different circumstances:

- *The transaction is not orderly* – If the evidence indicates that the transaction is not orderly, an entity is required to place little, if any, weight (compared with other indications of fair value) on that observable transaction price when estimating fair value.
- *The transaction is orderly* – If the evidence indicates that the transaction is orderly, an entity is required to consider that transaction price when estimating fair value. The amount of weight placed on that transaction price (when compared with other indications of fair value) will depend on the facts and circumstances of the transactions and the nature and quality of other available inputs.

FAQ 4.6.3 addresses how to determine whether a transaction is orderly. Where a market is considered inactive, pricing inputs for referenced transactions might be less relevant. The determination of whether a transaction is (or is not) orderly is more difficult if there has been a significant decrease in the volume and level of activity for the asset or liability.

If management does not have sufficient information to conclude whether an observed transaction is orderly (or is not orderly), it is required to consider that transaction price when estimating fair value. In those circumstances, that transaction price might not be determinative (that is, the sole or primary basis) for estimating fair value. There might be circumstances in which less weight should be placed on transactions where a reporting entity has insufficient information to conclude whether the transaction is orderly when compared with other transactions that are known to be orderly.

IFRS 13 does not prescribe a methodology for making significant adjustments to transactions or quoted prices when estimating fair value in inactive markets. Instead of applying a prescriptive approach, management should weigh indicators of fair value.

FAQ 4.6.3 – Determining whether transactions are orderly

Reference to standard: IFRS 13 para B43
Reference to In Depth standing text: 4.6

Question

When are transactions considered orderly?

Answer

Paragraph B43 of IFRS 13 provides a list of circumstances that might indicate that a transaction is not orderly, including (but not limited to) the following:

- There was no adequate exposure to the market, for a period before the measurement date, to allow for marketing activities that are usual and customary for transactions involving such an asset or liability.
- There was a usual and customary marketing period, but the seller marketed the asset or liability to a single market participant.
- The seller is in or near bankruptcy or receivership (that is, distressed) or the seller was required to sell to meet regulatory or legal requirements (that is, if the seller was forced). However, not all requirements to divest result in a forced sale, since many requirements to divest are made in circumstances that allow sufficient time and marketing effort to result in an orderly disposal.
- The transaction price is an outlier when compared with other recent transactions for the same (or a similar) asset or liability.

Although IFRS 13 provides a list of factors to consider that might indicate that a transaction is not orderly, we believe that there is an implicit rebuttable presumption that observable transactions between unrelated parties are orderly. In our experience, such transactions are considered to be orderly in almost all instances. Therefore, the evidence necessary to conclude that an observable transaction between unrelated parties is not orderly should be incontrovertible.

FAQ 4.6.4 – Delays in the availability of information as a result of a geopolitical conflict

Reference to standard: IAS 10 para 11
Reference to In Depth standing text: 4.6

Question

Geopolitical conflicts can cause delays in the availability of information used to measure the fair value of an investment. If a company uses estimates of such information in its initial valuation assessment, how should it consider updated information that becomes available before its financial statements are issued?

Answer

Initial estimates used in fair value models should be updated for any delayed information that becomes available prior to the release of the company's financial statements if, and only if, the information provides additional evidence about known or knowable conditions that existed at the measurement date.

FAQ 4.6.5 – How should uncertainties associated with a geopolitical conflict be factored into the fair value measurement of financial instruments?

Reference to standard: IFRS 13 para B25
Reference to In Depth standing text: 4.6

Question

How should uncertainties associated with a geopolitical conflict be factored into fair value measurement for financial instruments?

Answer

Geopolitical conflict gives rise to many significant uncertainties, including the length of time and severity of the impact, how effective potential measures taken to manage the impacts might be, and the duration of the conflict.

Such events might significantly increase uncertainties related to the amount and timing of cash flows of financial instruments. That impact is not necessarily limited to the credit risk of financial instruments. For example, the amount and timing of the cash flows associated with loans might become more uncertain as a result of sanctions. For equity investments, the impact of a conflict might give rise to greater uncertainty about the amount and timing of the investment's cash flows (for example, where the local government has imposed restrictions on the payment of dividends to international investors).

The effects of geopolitical conflict are often difficult to forecast, so it might not be possible for entities to factor all of the uncertainties into a single set of cash flow forecasts. Rather, there might be a range of potential outcomes that need to be included as different scenarios, with appropriate weightings applied to each. Management would need to document its basis for the factors that have been built into each scenario, including the probability weightings applied to each of the scenarios.

When valuing a financial instrument based on its future cash flows, entities generally determine the future cash flows under each scenario and the associated probability. The fair value of the financial instrument would then be the present value of the probability-weighted sum of all of the scenarios. Conceptually, in using this technique, entities would generally incorporate the impacts of all different risks on cash flows in each scenario, resulting in the probability-weighted, risk-adjusted cash flow for each such scenario. Each scenario's cash flow is then discounted at the risk-free rate, and the results are added together to arrive at fair value. This is consistent with the risk-adjusted expected cash flow method described as 'Method 1' in paragraph B25 of IFRS 13. For example, for a loan, an entity could factor the effect of the different expected payment options and their estimated 'probability of default' and 'loss given default' into different scenarios, with each scenario given a probability weighting. All of the parameters in estimating the cash flows should be based, as far as possible, on market observable data, and they must be consistent with market participants' views and expectations. Each scenario would then be discounted at the risk-free rate, and the sum of the probability-weighted scenarios would be the fair value of the financial instrument.

Alternatively, entities might exclude the impact of credit risk in estimating future cash flows for each scenario and incorporate the impact of credit risk into the discount rate instead. This mixed approach might be taken in practice because the credit spread is often observable, or it can be derived based on credit ratings and comparison to other similarly rated instruments.

The overriding principle is that, to the extent that the cash flows in the scenarios have been adjusted for a certain risk factor, that same risk factor should not be incorporated as an adjustment to the discount rate. Conversely, if a risk factor has not been incorporated in the risk-adjusted cash flows in the scenarios, the discount rate should incorporate that particular risk factor as an adjustment to the risk-free rate. However, incorporating risk factors into the discount rate is often more subjective and difficult than incorporating such factors into different scenarios. See FAQ 3.1.3 on uncertain cash flows for non-financial assets for further discussion.

Additionally, IFRS 13 deals with uncertainty in relation to level 3 fair value measurements through providing users with appropriate disclosures. These include a description of the valuation techniques used, how decisions are made in relation to valuation procedures and, for recurring fair value measurements, the sensitivity of fair value measurements to significant unobservable inputs.

FAQ 4.6.6 – What are the implications of a conflict or sanctions in a territory on the measurement of bonds issued out of that territory that are held at fair value?

Reference to standard: IFRS 13 paras 19, 21
Reference to In Depth standing text: 4.6

Question

What are the implications of a conflict or sanctions in a territory on the measurement of bonds issued out of that territory that are held at fair value?

Answer

IFRS 13 defines 'fair value' as the price that would be received to sell an asset, or paid to transfer a liability, in an orderly transaction between market participants at the measurement date.

To consider the implications of the sanctions on the fair value measurement of such bonds, the following should be considered:

Price

Information used in fair value models, other than market observable prices, should comprise all information that is known or knowable to market participants as of the measurement date, whether that information is obtained before or after the balance sheet date. For events that occur after the measurement date that provide information about facts that were not in existence on the measurement date, including market price movements, the nature and significance of the event might warrant disclosure. This will require the use of professional judgement and should be based on the individual facts and circumstances related to the assessed bonds.

To the extent that management is determining expected prices based on discounted cash flow analysis and similar valuation methodologies, it should document the significant judgements related to such cash flows and associated uncertainties, including the consideration of various scenarios and the applied valuation methodology. Management will also have to consider the significant uncertainties around inputs such as interest and foreign currency rates.

Principal or most advantageous market

IFRS 13 defines the 'principal market' as the market with the greatest volume and level of activity for the asset or liability. In the absence of a principal market, the most advantageous market should be used. The most advantageous market is the market that maximises the amount that would be received to sell the asset or minimises the amount that would be paid to transfer the liability, after taking into account transaction costs and transportation costs.

In evaluating the principal or most advantageous market, paragraph 19 of IFRS 13 restricts the eligible markets to only those that the entity can access at the measurement date.

Paragraph 21 of IFRS 13 acknowledges that there might not always be an observable market:

"Even when there is no observable market to provide pricing information about the sale of an asset or the transfer of a liability at the measurement date, a fair value measurement shall assume that a transaction takes place at that date, considered from the perspective of a market participant that holds the asset or owes the liability. That assumed transaction establishes a basis for estimating the price to sell the asset or to transfer the liability."

Major geopolitical events could cause significant disruption to certain markets and the ability to obtain observable inputs/prices.

Entities will need to carefully assess whether they have access to markets where quoted prices are available (for example, trading within a sanctioned territory). Even where such access is nominally available to foreign companies, entities will need to consider the impact of sanctions or other restrictions that prevent such access in practice. The restrictions on access might vary by jurisdiction.

Market participant

The above definition of an assumed transaction, in the absence of market-based pricing, puts significant focus on the determination of the appropriate market participants with whom the company would transact. The scale of the global sanctions might mean that the historically applied perspectives might no longer be valid. As such, historical assumptions might need to be revisited. Management will have to assess who the relevant market participants currently are, and how that might affect the price or other aspects of determining fair value.

Where the entity has no market available to it, it might have to determine the characteristics of a market participant to which it would hypothetically sell the bond if it were seeking to do so. Once the market participant characteristics have been determined, the entity would identify the assumptions that those market participants would consider when pricing the asset. The entity should construct a hypothetical or 'most likely' market for the asset, based on its own assumptions about what market participants would consider in negotiating a sale of the bond. Even where, legally, such bonds cannot be transferred, other hypothetical alternatives to transferring the cash flows of a bond could be considered (for example, collateralised total return swaps), if such transactions are permitted.

Even though valuation might be difficult, fair value would only be zero where a hypothetical market participant is indifferent between holding or not holding the rights associated with such assets; that is, because of possible upside scenarios, such indifference might not exist. However, fair values might be considered immaterial where there is limited probability associated with such upside scenarios, but this will depend on facts and circumstances and judgements regarding materiality.

Leases

FAQ 5.1 – What are the accounting

implications of a force majeure clause in a lease contract in the context of a geopolitical conflict?

Reference to standard: IFRS 16 para 38
Reference to In Depth standing text: 5

Background

Some lease contracts contain force majeure clauses that apply in the case of serious unforeseen circumstances beyond the control of the parties to the contract. Actions of governments taken in response to geopolitical conflict (for example, sanctions and restrictions imposed against countries at war) might be accounted for in a similar way to some force majeure clauses. The nature of such clauses can differ. For example, in some cases the clause might relieve the party suffering from the force majeure of all or certain obligations in the contract in the event of explicitly specified circumstances that include the impact of a conflict. In other cases, it might be unclear what rights are established in the case of a geopolitical conflict and whether the clause applies at all to the circumstances that have arisen from the conflict.

Question

What are the accounting implications of such force majeure clauses?

Answer

It depends. Entities should seek to understand how such clauses apply in the context of a geopolitical conflict, taking into account both the wording of the clause and the relevant laws and regulations. In addition, actions of governments taken in response to the conflict might be accounted for in a similar way to some force majeure clauses. In some cases, legal advice might be required.

Where it is determined that the clause establishes specific rights and obligations that apply in the specific situation (for example, rent reductions of specified amounts or for a specified period), these amounts should be treated as negative variable lease payments not dependent on an index or rate. As a result, in line with paragraph 38(b) of IFRS 16, the benefit of a reduction in payments is recognised in the period in which the event or condition that triggers the reduced payments occurs. Whilst this guidance applies specifically to lessees, we believe that it would be equally applicable to lessors, given that the overall definition of variable lease payments in IFRS 16 applies to both lessees and lessors.

On the other hand, where it is determined that the clause only allows the party suffering from the force majeure to enter into a negotiation with the other party, different considerations apply, because any changes agreed through the negotiation would not be considered part of the original contract. In such situations, refer to MoA chapter 15 paras 88–97 and MoA FAQ 15.96.1 for lessees, and MoA chapter 15 paras 128–130 and 136 and MoA FAQ 15.136.4 for lessors.

In any event, where such clauses are triggered, entities will need to consider what disclosures are required to enable users to understand what the accounting consequences have been and any judgements made.

FAQ 5.2 – Should a lessor in an operating lease continue to recognise lease income when its collectability is uncertain due to a geopolitical conflict?

Reference to standard: IFRS 16 para 81
Reference to In Depth standing text: 5

Question

As a result of a geopolitical conflict, collectability of rentals on some operating leases might become increasingly uncertain (for example, where the lessee is an entity based in a territory subject to financial restrictions). If a lessor assesses some rents on an operating lease to be uncollectable, should the lessor continue to recognise the corresponding lease income?

Answer

Paragraph 81 of IFRS 16 requires a lessor to recognise lease payments from operating leases as income on either a straight-line basis or another systematic basis. IFRS 16 does not specify a collectability criterion that must be met in order for a lessor to recognise operating lease income. A lessor could therefore continue to recognise operating lease income. However, a lessor is required to apply IFRS 9's impairment requirements to lease receivables. Impairment losses on lease receivables should be recognised separately as an expense.

Cash and cash equivalents

FAQ 7.1.1 – How do restrictions on the remittance of cash affect presentation of cash and cash equivalents?

Reference to standard: IAS 7 para 48
Reference to In Depth standing text: 7.1

Question

A subsidiary holds cash deposits with domestic banks in territory T. As a result of sanctions imposed by governments on territory T, the remittance of cash abroad to fellow subsidiaries and to the parent is restricted. Is this cash presented as cash and cash equivalents in the consolidated cash flow statement?

Answer

This restriction is unlikely to preclude the classification of the subsidiary's deposits as cash and cash equivalents in the consolidated financial statements, but disclosure of the restriction would be required. Further application issues are covered in the FAQ 7.1.2.

FAQ 7.1.2 – How should the entity classify demand deposits that are subject to restrictions on use in the statement of cash flow and in the statement of financial position?

Reference to standard: IAS 7 paras 6, 45, 48; IAS 1 paras 31, 54, 55, 66
Reference to In Depth standing text: 7.1

Background

An entity holds a demand deposit in a bank in territory T. The sanctions imposed against territory T's banking sector prevent the entity from transferring the demand deposit to banks outside territory T.

However, were the entity to request any amount from the deposit in-territory, it would receive that amount on demand.

Question

How should the entity classify cash (that is, demand deposits) that are subject to restrictions on use in the statement of cash flows and in the statement of financial position?

Answer

Presentation in the statement of cash flows

Paragraph 6 of IAS 7 defines 'cash' by stating that it *"comprises cash on hand and demand deposits"*, and IAS 7 includes no other requirements on whether an item qualifies as cash beyond the definition itself.

IAS 7 and IAS 1 indicate that amounts included in cash and cash equivalents might be subject to restrictions. Namely:

- paragraph 48 of IAS 7 requires an entity to disclose information about *"significant cash and cash equivalent balances held by the entity that are not available for use by the group"* ; and
- paragraph 66(d) of IAS 1 requires an entity to classify as current an asset that is *"cash or a cash equivalent (as defined in IAS 7) unless the asset is restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period"* .

Accordingly, the restrictions on use of a demand deposit do not result in the deposit no longer being cash, unless those restrictions change the nature of the deposit in a way that it would no longer meet the definition of cash in IAS 7. The entity should include the demand deposit as a component of 'cash and cash equivalents' in its statement of cash flows.

Presentation in the statement of financial position

Paragraph 54(i) of IAS 1 requires an entity to include a line item in its statement of financial position that presents the amount of 'cash and cash equivalents'. Paragraph 55 of IAS 1 states that *"an entity shall present additional line items (including by disaggregating the line items listed in paragraph 54) … in the statement of financial position when such presentation is relevant to an understanding of the entity's financial position"*.

Therefore, the entity should present demand deposits that are subject to restrictions on use as cash and cash equivalents in its statement of financial position.

Where relevant to an understanding of its financial position, the entity should disaggregate the 'cash and cash equivalents' line item and present the demand deposit subject to restrictions on use separately in an additional line item. In addition to that, if the entity presents assets as current or non-current, it should, applying paragraph 66(d) of IAS 1, classify the demand deposit as current unless the deposit is *"'restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period"*.

Disclosure requirements

Paragraph 45 of IAS 7 states that *"'an entity shall disclose the components of cash and cash equivalents …"*. Applying this requirement, the entity should disclose the demand deposit subject to restrictions on use as a component of cash and cash equivalents.

The entity should also consider whether to disclose additional information:

a. in the context of the requirements in IFRS 7 about liquidity risk arising from financial instruments and how an entity manages that risk; and
b. if the information it provides applying the disclosure requirements in IAS 7 and IFRS 7 is insufficient to enable users of financial statements to understand the impact of the restrictions on the entity's financial position. [IAS 1 para 31].

Note that the assessment of restrictions over cash equivalents might be different. Refer to MoA FAQ 7.46.1.

Revenue recognition

FAQ 8.1 – How could revenue recognition be impacted by a customer's inability to make payments due to the disruption caused by a geopolitical conflict?

Reference to standard: IFRS 15 paras 9, 14
Reference to In Depth standing text: 8

Question

How could revenue recognition be impacted by a customer's inability to make payments due to the disruption caused by a geopolitical conflict?

Answer

If a company concludes that collection of consideration is not probable for a new contract with a customer, it cannot recognise revenue; however, the company should continue to reassess this conclusion each reporting period, because collection might become probable at a later date. [IFRS 15 para 9(e)]. [IFRS 15 para 14].

For contracts that are currently in process, a significant change in facts and circumstances (such as a significant deterioration in a customer's ability to pay, or a request for extended payment terms) would be an indicator that a company should also reassess whether it is probable that it will collect the remaining consideration under the contract for future goods and services.

A customer's ability or intention to pay consideration might be affected by interrupted operations or by sanctions. For example, certain banks' access to the SWIFT system might be limited. Limitations on the SWIFT system would mean that alternative payment mechanisms must be used to transfer funds within the banking system. This could limit the ability of customers to pay loans, settle receivables or receive funds, and hence impact the customer's cash flows or liquidity.

If a company continues to sell products and services to a customer when it is uncertain whether collection is probable – due to the potential deterioration of its customer's financial position or that customer's current inability to settle outstanding receivables – the question arises as to whether revenue can be recognised on new transactions with that customer. Paragraph 9(e) of IFRS 15 requires a company to first consider any potential price concessions that it expects to provide, which reduce the transaction price, before assessing collectability. Additionally, as part of the collectability assessment, a company should consider whether it has the ability and intent to cease providing service if the customer fails to pay. In many cases, it might be challenging to conclude that collection for new sales is probable when the customer has been unable to pay existing receivables. Importantly, contracts with and receivables from customers in the affected region, or with significant exposure to that region, warrant new and careful consideration in the current environment, even if the customer has a strong history of payment. This type of situation requires judgement and is dependent on facts and circumstances; however, if a company cannot conclude that collection is probable, it cannot recognise revenue from the arrangement.

Companies should consider not only the direct impacts of the conflict on counterparties, but also the varied impacts of any sanctions regimes. For example, a company might believe that it is not impacted by a conflict in the Middle East because their customers are all in the US and Western Europe, and it might overlook that its major customers' revenues are substantially derived from the Middle East, potentially with products subject to sanctions. This might raise uncertainties regarding the ability of these customers to pay consideration when it becomes due, even though such customers are not physically located in the impacted region.

If a company concludes that collection of consideration for future goods and services under the contract is not probable due to the change in circumstances, the company will account for the remainder of the contract as if the criteria to be a contract had not been met. This assessment does not affect assets and revenue recorded relating to performance obligations already satisfied. Such assets are assessed for impairment under the relevant financial instruments standard.

FAQ 8.2 – Negative revenue: revision of a 'highly probable' variable transaction price due to a geopolitical conflict

Reference to standard: IAS 7 para 48
Reference to In Depth standing text: 7.1

Background

In 20X1, entity A, a travel agency, sold holiday trips (for example, flight tickets and accommodation) to travellers. In line with the revenue standard, entity A accounted for these sales as an agent. [IFRS 15 App B para B36]. In the contract with the customer (in this situation, a tour operator), entity A earns a fee unless the traveller does not start the journey – for example, the traveller cancels the travel contract in specific situations or is not able to start the journey due to other circumstances (including force majeure). When assessing revenue recognition, entity A considers that 80% of revenue would meet the 'highly probable' threshold in the IFRS 15 guidance on variable consideration. [IFRS 15 para 56]. [IFRS 15 para 57]. When estimating

the expected refundable amount, entity A considers past experience with respect to the amount and the probability of events (and other factors mentioned in para 57 of IFRS 15) that lead to the recognition of a refund liability.

In Q1 20X2, a major geopolitical conflict commences. As a result, many holiday trips to certain countries were cancelled due to travel restrictions imposed by local governments and travellers' reluctance to travel to the impacted areas. Entity A is required to refund 30% of the revenue that it recognised in the year to 31 December 20X1.

Question

How should entity A present the negative adjustments to revenue in 20X2 which relate to 20X1 revenue transactions?

Considerations

The reduction in revenue relates to a change in the estimate of variable consideration for a performance obligation which was satisfied in 20X1. However, the reduction in revenue needs to be recognised in 20X2, when the transaction price changes. [IFRS 15 para 88].

For certain contracts with customers, revenue for 20X2 might become negative as a consequence of the refund related to performance obligations satisfied in 20X1. Entity A should ensure that it discloses, in its 20X2 financial statements, the update of its estimate of the variable consideration as a negative adjustment to revenue in 20X2. [IFRS 15 para 59]. [IFRS 15 para 87]. This would also apply if entity A's overall revenue in 20X2 would become negative as a result of this adjustment. In the latter case, the statement of profit or loss/comprehensive income would present a line item 'revenue' which is negative.

FAQ 8.3 – For entities using the cost-to-cost input method for revenue recognition, should additional costs arising due to a geopolitical conflict be included in the measure of progress?

Reference to standard: IFRS 15 paras 39, 40
Reference to In Depth standing text: 8

Background

As a result of a geopolitical conflict, additional costs (such as additional shipping, and more costly raw materials and transportation costs) might be required in order to perform long-term construction contracts. Such costs were likely not anticipated prior to the conflict, and they are likely not specifically considered in the price of the contract.

Question

For entities with long-term construction contracts negotiated before the occurrence of a geopolitical conflict, should such additional costs be included in the cost-to-cost input method used to determine the measure of progress for revenue recognition?

Answer

The measure of progress is intended to depict an entity's performance in transferring control of goods or services promised to the customer. [IFRS 15 para 39]. So, the method that best depicts the transfer of control of goods or services should be selected. Where the cost-to-cost method (that is, costs incurred relative to total estimated costs) is assessed to be the appropriate method for measuring progress, it should be applied consistently to similar performance obligations in similar circumstances. [IFRS 15 para 40].

Costs that result in a transfer of the control of goods or services to the customer are included in both the costs incurred and total estimated costs in the cost-to-cost method, regardless of whether these costs were anticipated in the contract price. Costs that do not depict progress are excluded from the cost-to-cost method. This will include costs of wasted materials, labour and other resources that represent inefficiencies in the entity's performance, rather than costs contributing to the progress in transferring control of a good or service. Judgement is required to determine if the costs contribute to the progress of the contract, based on specific facts and circumstances.

The following scenario illustrates how the principle above might be applied in assessing whether additional costs should be included in the cost-to-cost method selected for revenue recognition of a long-term construction contract negotiated before

the conflict started.

Illustration

Due to the occurrence of a conflict in a certain territory, entity A expects to incur higher raw material costs in order to complete a contract than were anticipated before the conflict began. The raw material costs increased due to an increase in commodity prices needed to complete the contract because of the conflict. There was no change to the contract price that was negotiated prior to the conflict.

As a result of the conflict, entities engaged in the satisfaction of this type of performance obligation will need to incur these additional costs in order to satisfy their performance obligation. Therefore, the additional costs do not represent wastages or inefficiencies. Rather, they represent costs contributing to the progress of transfer of control of the construction asset to the customer over the construction period. Entity A should include the additional raw material costs in its revenue recognised under the cost-to-cost method.

FAQ 8.4 – What should entities consider when modifying contracts or terminating relationships with customers in sanctioned jurisdictions?

Reference to standard: IFRS 15 paras 51, 56, 57, 59, 70
Reference to In Depth standing text: 8

Question

What should entities consider when modifying contracts or terminating relationships with customers in sanctioned jurisdictions?

Answer

Contracts with customers might be modified or terminated as a result of a decision to exit operations in a sanctioned jurisdiction. A modification is a change in the scope of the contract, the price of the contract, or both. A modification is accounted for as a separate contract only if distinct goods or services are added to the contract for a price equal to stand-alone selling price (adjusted for contract-specific circumstances). The accounting for a modification that is not a separate contract depends on whether the remaining goods or services are distinct from the goods or services transferred before the modification:

- If the remaining goods or services are not distinct (for example, a single performance obligation is being modified), the modification is accounted for on a cumulative catch-up basis. Estimates of the transaction price and measure of progress are updated, and cumulative revenue recognised is adjusted (increased or decreased) accordingly.
- If the remaining goods or services are distinct (including goods or services that are part of a series), the modification is accounted for prospectively as if it were a termination of the existing contract and the creation of a new contract. The sum of (a) unrecognised consideration from the original contract, and (b) additional consideration promised as part of the modification, is allocated to the remaining goods or services to be provided, based on relative stand-alone selling prices as of the modification date.

The partial or complete termination of a contract will typically also be accounted for as a modification as it is a change to the scope and price of the contract.

As part of the contract termination process, an entity might make a promise to provide goods or services in the future at a discounted price to their stand-alone selling price. If this discount is not provided to all customers who purchase the goods or services in the future, this promise might constitute a material right. A portion of the unrecognised consideration might need to be allocated to a separate performance obligation in the form of a material right, and it should be deferred as a contract liability for the material right not yet satisfied. See MoA chapter 11 para 198 onwards.

Entities should also evaluate in which period any contract liabilities related to a terminated contract have been satisfied through performance or otherwise extinguished. Judgement might be required to determine when such amounts can be recognised and whether they represent additional revenue from the contract or other income.

Entities should consider any penalties, refunds or other payments for which they might be liable on contract termination, particularly if an entity unilaterally ceases performing, which might constitute a breach of contract. This will often be a legal determination and require evaluation of contract termination rights, force majeure clauses and contractual remedies upon

breach of contract. Payments made to a customer are presented as a reduction of revenue in accordance with paragraph 70 of IFRS 15, unless the payment is in exchange for a distinct good or service received from the customer. Consider the following situation:

Illustration

In January 20X2, entity B entered into a contract with a customer located in territory T to deliver two pieces of specialised equipment produced by entity B. The total contract price is C1,000, calculated as C500 per item of the equipment; the customer is required to make payment for each item on delivery of the item. The promise to deliver each piece of equipment is a separate performance obligation. Revenue is recognised at the point in time when control over the equipment is transferred to the customer (that is, when the equipment is physically delivered and accepted by the customer). The first item was delivered in Q1 20X2, while the delivery of the second item was scheduled for Q3 20X2.

Due to sanctions on territory T imposed in March 20X2, entity B decided to terminate this contract in March 20X2 and not to deliver the second piece of equipment to the customer. According to the contract, if entity B unilaterally terminates the contract before the promises in the contract are satisfied in full, it is required to pay a penalty of 20% of the total contract price. At contract inception, entity B concluded that the event of the early contract termination was highly unlikely and accordingly did not constrain revenue. The transaction price at contract inception was considered to be C1,000. Revenue in the amount of C500 was recognised by entity B in Q1 20X2.

Terms that provide for cash payments to the customer for failure to comply with the terms of the contract (for example, penalties) should generally be accounted for as variable consideration. [IFRS 15 paras 51]. Entity B did not adjust the transaction price for the C200 penalty at contract inception, because it considered the contract's cancellation, and payment of the penalty, to be highly unlikely in accordance with paragraphs 56 and 57 of IFRS 15. Following the decision to early terminate the contract in March 20X2, entity B should update its assessment of whether an estimate of variable consideration is constrained, as required by paragraph 59 of IFRS 15. Entity B concludes that, in order to faithfully represent the changes in circumstances during March 20X2, the revenue recognised for delivery of the first item should be C300, meaning that it should be adjusted to include the amount of the penalty of C200. The entire penalty is allocated to the first item as entity B will not deliver the second item and is not entitled to the compensation. See also FAQ 8.2.

The customer has already paid C500 to entity B for the first item delivered in Q1 20X2. Accordingly, the penalty in the amount of C200 due be paid to the customer will be recognised as a financial liability in the scope of IFRS 9.

Non-financial obligations

FAQ 9.1.1 – Are penalties arising on the termination of a contract in the scope of IAS 37 or IFRS 9?

Reference to standard: IAS 37 para 10; IAS 32 para 11; IFRS 9 para 5.1.1
Reference to In Depth standing text: 9.1

Background

As a result of a geopolitical conflict, some businesses might decide to suspend or exit operations in certain territories. In such cases, contracts with counterparties located in those territories might be terminated early. In order to determine the appropriate accounting implications, it is important to understand the specific contract terms.

According to paragraph 10 of IAS 37, *"a provision is a liability of uncertain timing or amount"* and should be distinguished from other liabilities accounted for in accordance with the other standards, such as IFRS 9. Before IAS 37 guidance is applied, an entity should consider whether the liability is in the scope of another standard.

If an entity cancels a contract and, according to the terms of the contract, the entity which is in breach of the contract is required to pay a penalty, the entity would accrue the penalty as a financial liability in the scope of IFRS 9. However, if a contractual penalty is expected to be triggered, but has not yet been contractually triggered, the entity would need to consider the guidance in IAS 37 in relation to onerous contracts before the penalty becomes due and might recognise an onerous provision. The liability for such an onerous contract would be derecognised and the contractual financial liability would be recognised once the penalty becomes payable under the contract.

The following scenarios illustrate the principles of accounting for penalties payable on termination or breach of a contract, under different standards. Refer to FAQ 8.4 for an illustration of the potential impact of a penalty payable on contract termination to revenue.

Illustration 1 – Contractual liability

Entity A has a contract with a third-party supplier. Entity A decided to terminate this contract in Q1 20X2, even though the remaining term of the contract was two years. According to the contract terms, if the contract is unilaterally terminated by the customer before the contract term expires, the customer is required to pay a penalty. The penalty is calculated as 10% of the price of the goods that are scheduled to be delivered by the end of the calendar year when the contract is terminated.

At the end of Q1 20X2, entity A's contractual obligation to pay a penalty to the supplier in the event of the early termination of the contract meets the definition of a financial liability in paragraph 11 of IAS 32. It should therefore be accounted for in accordance with IFRS 9. All financial instruments under IFRS 9 are initially recognised at fair value, plus or minus (in the case of a financial asset or financial liability not at fair value through profit or loss (FVTPL)) transaction costs that are directly attributable to the acquisition or issue of the financial instrument. [IFRS 9 para 5.1.1]. The concept of fair value and the requirements for determining the fair value of financial instruments are discussed in detail in MoA chapter 5.

Illustration 2 – Liability of uncertain amount

Entity C has a contract with a third-party supplier. Entity C decided to terminate this contract in Q1 20X2, even though the contract still has five years to run. The contract is silent on what happens in the case of an early termination and therefore any dispute arising from the breach will be resolved through a court process.

In this case the liability is out of scope of IFRS 9 because it is not contractual (see MoA FAQ 40.21.1). Entity C would consider IAS 37 in determining whether a provision should be recognised (see MoA chapter 16 para 10 onwards).

Illustration 3 – Expected termination

Entity D has an obligation under a contract to purchase goods from a supplier in a sanctioned territory. The contract requires entity D to purchase goods each month over two years. To the extent that entity D refuses to accept two consecutive months of deliveries, it will be considered to be in default, and a contractual penalty will be payable for breach of contract and the contract will be terminated. Entity D is legally still permitted to accept delivery from the supplier under sanctions rules but has made a business decision not to do so.

Entity D accepted the last delivery from the supplier in February 20X2. Entity D failed to accept a delivery in March 20X2. Entity D was not considered to be in default of its contractual obligation at 31 March 20X2, because it had not yet failed to receive goods for two consecutive months. Entity D does not expect that it will accept any future deliveries under the contract. Should entity D record the expected penalty as a financial liability at 31 March 20X2?

No, entity D should not record a financial liability for the expected penalty because it is not contractually due at 31 March 20X2. A financial liability will be recorded in April 20X2 when entity D breaches the contract and a penalty becomes contractually due.

FAQ 9.2.1 – How should payments in relation to termination of contracts be dealt with in the financial statements?

Reference to standard: IAS 37 para 66
Reference to In Depth standing text: 9.2

Background

An entity has a contract with a third-party supplier located in an area of geopolitical conflict. The entity wishes to terminate this contract in Q2 20X2, even though the contract will still have two years to run. It will incur a charge for terminating the contract.

Question

Does the entity have to raise a provision in Q1 20X2 for the contract that it plans to exit in Q2 20X2?

Answer

A provision should be recognised only if the contract is onerous. If the goods received under the supply contract are sold by the entity at a profit, the contract is not onerous and a provision should not be recognised in Q1 20X2. The termination cost should be recognised as incurred when the contract is terminated in Q2 20X2.

FAQ 9.4.1 – Is an announcement of a restructuring plan to some of those parties affected by the plan sufficient to recognise a liability for the total expected restructuring provision?

Reference to standard: IAS 37 paras 72, 73, 79;IAS 19 para 165
Reference to In Depth standing text: 9.4

Background

Geopolitical conflict can impact entities in different ways. Entities with business in the affected areas might need to adjust their operations, and some might plan longer-term changes. These longer-term changes might lead to a restructuring of the business, and such restructuring might affect several parties.

Entity A's management has prepared a plan for a reorganisation of its operations. In March 20X2, the board approved the plan, which involves closing three branches in the affected areas. The intention to cancel, or not to renew, the lease contracts associated with the locations to be closed was communicated to lessors in March 20X2. Entity A did not indicate to employees at the affected locations any plans regarding their future employment. No public statement was made in March 20X2, and the announcement of the plan to the affected employees (that is, for the branches to be closed, and for management plans to dismiss all of the employees) is planned to take place in April 20X2.

Entity A has already addressed the impact on its lease accounting, and it now wants to assess whether it can provide for other restructuring costs (specifically, redundancies related to the affected employees at 31 March 20X2).

Question

Is an announcement of a restructuring plan to some of the parties affected by the plan sufficient to recognise a liability for the total expected restructuring provision?

Answer

Paragraphs 72 and 73 of IAS 37 explain that a public announcement of a detailed plan to restructure constitutes a constructive obligation only if it is made in such a way and in sufficient detail that it gives rise to valid expectations in other parties that the entity will carry out the restructuring.

IAS 37 does not provide further guidance on the interpretation of 'other parties'. However, the principles in IAS 37 related to a restructuring require liabilities to be recognised only where there is a present obligation on the part of the entity. Consequently, if the entity has an alternative action plan to the restructuring that could avoid a potential outflow, no liability is recognised. This is demonstrated in Example 5B of IAS 37, which illustrates that communication is needed with both employees and customers before a restructuring provision can be recognised. Paragraph 79 of IAS 37 also explains that a constructive obligation might arise for different aspects of the restructuring plan and be accounted for at different times.

Termination payments to employees are within the scope of IAS 19. In this scenario, no offer has been provided to the employees. Following paragraph 165(b) of IAS 19, entity A should recognise a liability and expense for termination benefits when it recognises the costs of the restructuring within the scope of IAS 37.

Therefore, in the example above, there is no constructive obligation related to the restructuring for employees as at 31 March 20X2.

FAQ 9.4.2 – How should a change in

settlement of equity awards to employees in a sanctioned jurisdiction be accounted for?

Reference to standard: IFRS 2 paras 29, 41
Reference to In Depth standing text: 9.4

Background

A multinational group, with its holding company domiciled in Europe, has operations in a number of different countries, including one that is subject to sanctions. The group has an existing deferred bonus plan in terms of which employees of group entities are awarded shares in the listed holding company, after completing a defined period of service. The scheme has historically been accounted for by the consolidated group as an equity-settled, share-based payment scheme.

Restrictions imposed by the government in the sanctioned jurisdiction prohibit the transfer of shares between its residents and entities operating from countries who have imposed sanctions on it. As a result, the holding company is not able to settle awards to those employees in shares. The holding company has instead instructed its subsidiary in that jurisdiction to make cash payments to these employees, based on the value of the shares when the awards vest.

Question

What is the impact of the settlement in cash to employees in the sanctioned jurisdiction on (i) the awards to those employees, and (ii) the scheme's classification in its entirety?

Answer

i. ***Impact of change in settlement method on awards to employees in the sanctioned jurisdiction***

The restrictions imposed by the government have resulted in the entity changing its settlement practice for awards to employees in the impacted territory.

Where an entity modifies a share-based payment award so that it will be settled in cash instead of shares, the entity measures the liability using the modification-date fair value of the equity-settled award, based on the elapsed portion of the vesting period. This amount is recognised as a credit to liability and a debit to equity (by analogy with para 29 of IFRS 2, which states that the repurchase of vested equity instruments is accounted for as a deduction from equity).

The entity remeasures the liability at the date of change and at each subsequent reporting date; and it recognises any additional expense from increases in the liability.

ii. ***Impact of change in settlement method on overall scheme classification***

Because the unit of account for share-based payment awards is the individual award to a participant, the change in settlement method for a discrete group of employees does not automatically impact the classification of all awards made under a scheme. It will need to be established whether the decision to settle awards to these employees in cash creates a constructive obligation to pay cash to all employees under the scheme. [IFRS 2 para 41].

In this scenario, the reasons requiring settlement in cash are unique to employees in the impacted jurisdiction and arise as a result of specific restrictions imposed by the government. The population of employees that will receive cash settlement, and the reasons necessitating a change to cash settlement, are well defined. In the absence of other factors, the decision to settle awards to these employees in cash is unlikely to create any expectation on the part of other employees that they will receive a cash payment. In this case, the group will not have created an obligation (either legal or constructive) to settle awards to other employees in cash, and these awards would continue to be classified as equity-settled.

Judgement is required in making this assessment, and all facts and circumstances specific to the arrangement and the entity should be considered.

FAQ 9.4.3 - If a company decides to pay salaries to employees unable to work, when should the expense related to these payments be recognised?

Reference to standard: IAS 19 paras 13, 18
Reference to In Depth standing text: 9.4

Question

Companies might choose to continue to pay salaries and benefits to employees, even if they are unable to work due to the temporary closure of operations or because they have been physically displaced. Considering that the employees will not be rendering services during this period, when should the expense related to these payments be recognised?

Answer

Paid absences are periods during which an employee does not provide services to the employer, but employee benefits continue to be paid. Payments to employees during the period of business closure or their displacement will likely be accounted for as non-accumulating paid absences, because the payment will lapse if the current period's entitlement is not used and the employees will not be entitled to a cash payment for unused entitlement on leaving the entity. [IAS 19 para 18].

In the case of non-accumulating paid absences, an entity should recognise the expected cost of the short-term employee benefits when the absences occur. [IAS 19 para 13]. Payments to employees during the period that they are not able to work due to business closure or their displacement would therefore typically be recognised as an expense over the period of the absence.

Specific arrangements and their conditions should be considered in their entirety. There could be cases where separate legal or constructive obligations arise for which a liability should be recognised.

FAQ 9.5.1 – What should a company consider when assessing the recoverability of its deferred tax assets in light of a geopolitical conflict?

Reference to standard: IAS 12 para 56
Reference to In Depth standing text: 9.5

Question

What should a company consider when assessing the recoverability of its deferred tax assets in light of a geopolitical conflict?

Answer

According to paragraph 56 of IAS 12, an entity should reduce the carrying amount of a deferred tax asset to the extent that it is no longer probable that sufficient taxable profit will be available to allow the benefit of part or all of that deferred tax asset to be utilised.

Particular consideration should be given to recoverability of a deferred tax asset by entities impacted by a geopolitical conflict, given that the balance of favourable and unfavourable evidence could have changed compared to the previous assessment. Management should ensure that the projections on which such assessments are based are broadly consistent with the assumptions made about the future in relation to other aspects of financial accounting (for example, impairment testing), except where relevant standards require a different treatment. The amount of taxable profits considered more likely than not for each period is assessed. Management should have regard to any time limit on carry-forward of tax losses. The level of taxable profit might be more difficult to predict the further into the future an assessment is required, but there should be no arbitrary cut-off in the time period over which such an assessment is made.

FAQ 9.5.2 – What other potential tax accounting implications might companies encounter as a result of a geopolitical

conflict?

Reference to standard: IAS 12 para 39
Reference to In Depth standing text: 9.5

Question

What other potential tax accounting implications might companies encounter as a result of a geopolitical conflict?

Answer

Geopolitical conflicts might create a number of pre-tax impacts that companies will need to assess for related tax accounting consequences. For example, the impairment of tangible and intangible assets might have an impact on a company's deferred taxes.

In addition to the related tax accounting impacts of pre-tax items, companies might also have to consider any impact on their assertions with regard to deferred taxes on the outside basis difference in foreign subsidiaries in impacted territories. Sanctions might restrict an entity's ability to extract cash, and they might impact decisions on whether to exit business operations in certain markets. As prescribed by paragraph 39 of IAS 12, an entity should recognise a deferred tax liability for all taxable temporary differences associated with investments in subsidiaries, branches and associates, and interests in joint ventures, except to the extent that both of the following conditions are satisfied:

a. the parent, investor or venturer is able to control the timing of the reversal of the temporary difference; and
b. it is probable that the temporary difference will not reverse in the foreseeable future.

An enterprise availing itself of the exception in paragraph 39 of IAS 12 must continuously assert its intent to indefinitely reinvest its outside basis difference. In light of evolving situations surrounding a geopolitical conflict, management should consider whether there are any changes to their assertions concerning their ability and intent to indefinitely prevent the outside basis difference of a foreign subsidiary from reversing with a tax consequence. Entities that are unable to satisfy the conditions should record a deferred tax liability for any taxable temporary differences that would be incurred when the outside basis difference reverses.

Going concern and events after the reporting period

FAQ 10.1.1 – What timeframe should management consider when assessing going concern?

Reference to In Depth standing text: IAS 1 para 25
Reference to In Depth standing text: 10.1

Question

What timeframe should management consider when assessing going concern?

Answer

According to paragraph 25 of IAS 1, management is required to assess, at the time of preparing the financial statements, the entity's ability to continue as a going concern. This assessment should incorporate information known and reasonably knowable for at least 12 months from the end of the reporting period. The 12-month period for considering the entity's future is a minimum requirement: an entity cannot, for example, prepare its financial statements on a going concern basis if it intends to cease operations 18 months from the end of the reporting period. This means that the assessment should consider the most current information available before the financial statements are issued (or available to be issued), requiring companies to consider all relevant subsequent events after the balance sheet date.

FAQ 10.1.2 - How should the requirements in IAS 1 regarding the going concern assumption be applied?

Reference to In Depth standing text: IAS 1 para 22, 25, 122
Reference to In Depth standing text: 10.1

Multiple scenarios might exist about the potential impact of a geopolitical conflict on an entity such as:

Scenario 1: No significant doubts about going concern

- The conflict is not expected to have a significant impact on the entity. Management has determined that there is no material uncertainty that casts doubt on the entity's ability to continue as a going concern.
- Management expects that the conflict might have some impact, though not significant (for example, in relation to expected future performance, or the effects on some future asset valuations).
- An entity that has profitable operation and no liquidity concerns and for which there are no significant doubts about its ability to continue as a going concern.
- Apart from the need to describe the basis of preparation, there are no specific disclosure requirements relating to going concern.
- Less likely that significant judgements were involved in reaching the conclusion to prepare the financial statements on a going concern basis.

Scenario 2: Significant doubts, mitigating actions sufficient for going concern to be appropriate. No material uncertainties

- The impact of the conflict on the entity's future performance might be significant: the entity is loss-making, demand for its goods or services has decreased rapidly, and its funding facilities are due to expire in the next 12 months.
- After considering the effectiveness of the actions that it plans, management concludes that the material uncertainties are expected to be mitigated. Management started to execute a turnaround strategy that shows sufficient evidence of success, including identifying alternative sources of financing.
- After considering planning mitigating actions, management concludes that there are no material uncertainties.
- This conclusion involves significant judgement. Appropriate disclosure of judgements made, in concluding that no material uncertainties remain, is necessary, based on the requirement of paragraph 22 of IAS 1.

Scenario 3: Significant doubts, mitigating actions sufficient for going concern to be appropriate. Material uncertainties remain

- There are material uncertainties related to events or conditions (the consequences of the conflict) that might cast significant doubt upon the entity's ability to continue as a going concern. The consequences of the conflict might combine with other events or conditions to create a material uncertainty.
- The entity is loss-making, demand for its goods or services has decreased rapidly, and its funding facilities are due to expire in the next 12 months.
- There is considerable material uncertainty about management's ability to execute its turnaround strategy to address the reduced demand and to renew or replace funding.
- Paragraph 25 of IAS 1 requires an entity to disclose the material uncertainties relating to its ability to continue as a going concern.
- The conclusion to prepare the financial statements on a going concern basis is likely to involve significant judgement. In this case, the entity is also required to apply the disclosure requirements in paragraph 122 of IAS 1 relating to the significant judgement that the going concern basis is appropriate.

Scenario 4: Intend to liquidate or cease trading, or no realistic alternative but to do so

- As a result of the conflict, management intends to liquidate the entity or cease trading, or it has no realistic alternative but to do so.
- Going concern basis of preparation is no longer appropriate. IAS 1 permits an entity that is no longer a going concern to prepare financial statements on a different basis but still in accordance with IFRS Accounting Standards.
- IAS 1 does not specify an alternative basis for preparing financial statements if the entity is no longer a going concern.
- Paragraph 25 of IAS 1 requires disclosure of the fact that the financial statements have not been prepared on a going concern basis and the reasons why the entity is not regarded as a going concern, as well as disclosure of the basis on which the financial statements have been prepared.

FAQ 10.2.1 – Adjusting events affecting impairment calculations related to non-financial assets with a measurement basis other than fair valuczylie

Reference to In Depth standing text: IAS 10 para 3
Reference to In Depth standing text: 10.2

A number of non-financial assets are measured on a basis other than fair value when they are impaired. The most common examples are assets measured using 'value in use' under IAS 36 or at 'net realisable value' under IAS 2.

Where management has concluded that the impact of a geopolitical conflict existed at the reporting date, the impacts of the conflict should be incorporated into the measurement of assets and liabilities at the reporting date. An entity has to determine whether developments after the reporting date provide management with better information about a condition that already existed at the balance sheet date. [IAS 10 para 3]. This requires judgement and an analysis of the facts and circumstances in order to distinguish between adjusting and non-adjusting information. The impairment test should be updated after the reporting date if material developments provide better information relating to the reasonably expected impacts of the conflict that existed at the reporting date.

A continuation of a previously observed trend does not usually warrant further adjustment, because the trend should have been incorporated into the most recent impairment calculation. However, material developments subsequent to the reporting date relating to the conflict, that provide better information about the conditions that already existed at the reporting date (that is, the reasonably expected impact of the conflict), might require management's assumptions to be updated in the impairment calculations.

For example, an entity might make the following assessments:

1. An entity with a 28 February 20X2 reporting date had not anticipated material sanctions in connection with a geopolitical conflict as one of the possible scenarios in its cash flow modelling. During the period after the reporting date but before the financial statements are authorised for issue, the government introduced material sanctions. Management judges that the government sanctions are a material development which could have reasonably been expected at the reporting date. This development provides additional information about a condition (that is, the reasonably expected impact of the conflict) that existed at the reporting date. Therefore, management updates the cash flow model to include the scenario, with an appropriate probability weighting.
2. An entity with a 28 February 20X2 reporting date has used an 'expected cash flow' approach in its 'value in use' model, with three scenarios. One of those scenarios incorporates a government prohibition on making sales to customers in a specific territory, and the other two do not. After the end of the reporting period but before the financial statements are authorised for issue, the government imposes the commercial prohibition. The entity might consider updating its scenarios to reflect the higher probability of the sanction.

FAQ 10.2.2 – Adjusting events affecting remeasurement/impairment calculations related to assets with a measurement basis of fair value

Reference to In Depth standing text: IFRS 13 paras 15, 87, 89
Reference to In Depth standing text: 10.2

A number of assets are measured at fair value, either through remeasurement (investment properties) or through impairment (fair value less cost of disposal).

A fair value measurement is based on information available at the date of measurement. [IFRS 13 para 15]. An entity should not make any adjustments for events after the reporting period for fair values that are based on only level 1 or level 2 inputs. This is because using level 1 or level 2 inputs means that the entity has already incorporated all of the information that a market participant would have considered at the date of measurement.

Even where level 3 inputs are used to measure fair value, the fair value measurement objective remains the same (that is, an

exit price at the measurement date from the perspective of a market participant that holds the asset or owes the liability). Therefore, unobservable inputs should reflect the assumptions that market participants would use when pricing the asset or liability, including assumptions about risk. [IFRS 13 para 87]. Level 3 inputs should be developed using the best information available in the circumstances, which might include an entity's own data. However, the entity's own data should be adjusted if reasonably available information indicates that other market participants would use different data. Information that becomes known after the measurement date is only taken into account where reasonable and customary due diligence would have identified the additional information at the measurement date. An entity should revise its fair value estimates if reasonably available information indicates that other market participants would use different data. [IFRS 13 para 89].

For example, an entity might make the following assessments:

1. An entity with a 28 February 20X2 reporting date had not anticipated a material government sanction as one of the possible scenarios in a level 3 discounted cash flow model during its period-end process. After the end of the reporting period but before the financial statements are authorised for issue, the government puts a material sanction in place. Management should consider the facts to determine whether a market participant would likely have incorporated some expectation of a material sanction into its discounted cash flow modelling. However, the fact that the government put a sanction in place does not, in itself, mean that a market participant would have included this as a possible scenario. The entity should not use hindsight to give this scenario a 100% weighting, but it should estimate the likelihood of a government sanction being put in place, consistent with what a market participant would have assumed at the reporting date.
2. An entity with a 28 February 20X2 reporting date has used an income approach to measure fair value. The model includes three scenarios that use level 3 inputs. One of the scenarios incorporates a government prohibition on transactions with a specific territory, and the other two do not. After the end of the reporting period but before the financial statements are authorised for issue, the government imposes a commercial prohibition. At the reporting date, a market participant would not have known that a commercial prohibition was a certainty, and so the entity should not adjust its model to have only one scenario with a 100% weighting.

Presentation and disclosure

FAQ 11.1.1 – Presentation of the impact of a geopolitical conflict in the income statement

Reference to In Depth standing text: IAS 1 paras 85, 97, 98, 112
Reference to In Depth standing text: 11.1

As a consequence of a geopolitical conflict, entities might wish to present items within the income statement in a particular way, to draw specific attention to the effect of the conflict.

IAS 1 requires entities to present information in a manner that provides relevant, reliable, comparable and understandable information.

Is it acceptable to provide subtotals and extra headings in the income statement?

Paragraph 85 of IAS 1 permits disaggregation and additional line items in the income statement, if such presentation is relevant to the understanding of the entity's financial performance. Further, guidance in paragraphs 97-98 of IAS 1 requires separate disclosure of material items of income and expenses, which might include presentation in the income statement. Consequently, additional line items, subtotals or headings representing the incremental costs as a result of a conflict and related sanctions might be acceptable, provided that they give more understandable information and do not obscure other material information.

An entity should follow its existing accounting policy when making decisions on how expenses, including material items, are presented in the income statement. Entities might describe these types of expenses as exceptional. If there is no accounting policy in place describing the presentation of material and exceptional items, an entity might develop one to address presentation issues resulting from the conflict. This policy would then need to be applied consistently by the entity in the future. The accounting policy adopted by the entity regarding the presentation of exceptional line items would generally be disclosed in the notes to the financial statements.

How should additional information be presented?

Provided that the principles in IAS 1 are complied with, there might be a number of acceptable ways of presenting this information in the income statement. For example, an entity might present an analysis of expenses by nature, and it might have an accounting policy to present exceptional items as additional line items. To comply with the IAS 1 requirements to

consistently present expenses by nature, the entity might need to present more than one additional line item if the exceptional expenses relate to multiple expenses by nature. In many cases, judgement will be required to determine if a proposed presentation is acceptable.

IAS 1 does not permit pro-forma amounts [1] to be presented in the income statement. However, IAS 1 allows an entity to present separately a significant impairment recognised under IAS 36 as a direct result of the conflict.

Further examples of material items that it might be acceptable to draw attention to in connection with geopolitical conflicts include:

- termination penalties paid to suppliers;
- debt modification expenses (which would still need to be presented as part of finance costs);
- impairment of financial and non-financial assets;
- fair value measurements;
- foreign exchange differences related to operations;
- impact of hedge accounting being discontinued; and
- write-off of deferred tax assets resulting from reduced expectations of taxable profits (which would still need to be shown as part of taxation).

The consumption of existing assets that were not able to generate income as a result of the conflict would generally not be included within additional line items; this is because it is the lost income that is the exceptional event, rather than these 'sunk costs'. Sunk costs are therefore those expenses that would have been incurred regardless of the conflict. Examples of such sunk costs might include:

- normal salary costs of employees whose productivity has been impacted; and
- depreciation and other facilities costs.

Regulators often have a view on the appropriateness of the use of additional line items and pro-forma information, and so regulated companies should exercise caution when departing from a 'standard' presentation.

Some entities might choose to keep the established income statement presentation but to disclose specific information related to the impact of the conflict and its consequences in the notes to the financial statements. [IAS 1 para 112(c)]. Regardless of the approach taken, further disclosure might also be needed in the notes to comply with other IFRS requirements.

Other factors to consider

There might be a mixture of factors impacting the entity's financial performance, and it might be difficult in some cases to separate the effect of a geopolitical conflict from other external factors (for example, the impact of an increase in commodity prices). In such situations, management might need to apply judgement. Management might also need to clearly explain why a particular income or expense presentation is primarily as a result of the conflict.

Interim financial statements

FAQ 12.1 – What is the impact on impairment testing of providing financial information (such as a Q1 or Q2 trading update) during the year but not in accordance with IAS 34?

Reference to In Depth standing text: IAS 36 para 12
Reference to In Depth standing text: 12

Background

Irrespective of whether a geopolitical conflict exists, many entities will still produce interim information. Some entities provide supplementary financial information (for example, quarterly earnings releases) that does not constitute a complete set of interim financial statements in accordance with IAS 34. The supplementary financial information that is provided might show impairments at the time when the supplementary information is provided.

Question

If an entity has recorded an impairment in interim financial information which is not in accordance with IAS 34, does it need to record the same impairment when it reports in accordance with IFRS Accounting Standards?

Answer

No. The interim financial information was not in accordance with IFRS Accounting Standards (IAS 34), and so the principles in IAS 36 were not necessarily followed. At the next period end when a set of IFRS-compliant financial statements is produced (either at half year or year-end), the normal principles of IAS 36 should be followed. If an impairment is recorded, the amount could be different from the amount that was recorded or disclosed in the interim financial information.

Example

An entity prepares a mandatory Q1 result announcement for the quarter ended 31 March 20X2. This publication has not been prepared in accordance with IAS 34. Management indicated in the Q1 information that, in the current economic environment, there would likely be an impairment of goodwill, and it included a range. If the entity had prepared IAS 34-compliant interim financial statements, it would have recognised an impairment of goodwill.

The entity subsequently prepares an interim report, for the six months ended 30 June 20X2, in accordance with IAS 34. The entity considers whether there are impairment indicators at the reporting date (that is, 30 June 20X2). [IAS 36 para 12]. If there are indicators present, the entity would perform an impairment test. If the results of this test reflect that an impairment exists, the entity should book this amount in its interim report. However, if the case is that the recoverable value is higher than the carrying amount, the entity will not book an impairment charge, even considering that, in Q1, it had a different conclusion preliminarily reported; this is because this interim report will be the first IFRS-compliant financial statements produced for that period. Additionally, the entity performs the annual test of goodwill at the time of its usual annual test.

FAQ 12.2 – How should an entity estimate the weighted average annual effective income tax rate?

Reference to In Depth standing text: IAS 34 paras 16A, 30, B12, B13, B14, B19
Reference to In Depth standing text: 12

Background

Since taxation is assessed based on annual results, determining the tax charge for an interim period involves making an estimate of the likely effective tax rate for the year. [IAS 34 para 30(c)].

The tax charge or benefit cannot be properly determined until the end of the financial year (or, if different, the tax year), when all allowances and taxable items are known. Calculating tax on the basis of the results of the interim period, in isolation, could result in recognising a tax figure that is inconsistent with the manner in which tax is borne by the entity. Therefore, the calculation of the effective tax rate should be based on an estimate of the tax charge or benefit for the year, expressed as a percentage of the expected annual accounting profit or loss. This percentage is then applied to the interim result, and the tax is recognised evenly over the year as a whole. [IAS 34 App B para B12].

To the extent practicable, a separate estimated average annual effective income tax rate is determined for each taxing jurisdiction and applied individually to the interim period pre-tax income of each jurisdiction. While that degree of precision is desirable, it might not be achievable in all cases, and a weighted average of rates across jurisdictions is used if it is a reasonable approximation of the effect of using more specific rates. [IAS 34 App B para B14].

The tax effect of ‘one-off’ items should not be included in the likely effective annual rate, but it should be recognised in the same period as the relevant ‘one-off’ item. The estimated annual effective tax rate (excluding ‘one-off’ items) will, in that case, be applied to the interim profit or loss, excluding the ‘one-off’ items. [IAS 34 App B para B19].

Where a group operates in multiple territories, it is not always straightforward to estimate the weighted average effective income tax rate for the full financial year. The estimates needed to determine expected full-year taxable profits and losses by

jurisdiction, and thereby the tax rate applicable to expected total annual earnings, might be subject to a wider degree of uncertainty due to global conflicts.

Question

How should an entity estimate the weighted average annual effective income tax rate?

Answer

In some cases, the actual rate for the interim period, excluding the impact of one-off items, might be a reasonable estimate of the weighted average annual effective income tax rate for the full financial year.

The information used to estimate the average effective tax rate should be consistent with the information used in other financial statement estimates (for example, the forecasts and budgets used for impairment, viability and going-concern assessments). However, these forecasts are not always drawn up with the objective of forecasting pre-tax results to the level of granularity required to calculate the expected tax charge in each territory. The challenges and uncertainty arising from geopolitical conflicts might make it more difficult to estimate the annual effective tax rate. Pre-tax profit in a multinational group needs to be allocated to business functions, intellectual property, financing, etc. The territory-by-territory estimate also needs to take account of adjustments such as interest restrictions and minimum tax levels. It might also be necessary to consider the extent to which tax losses are recoverable in a given jurisdiction. All of these factors can have a disproportionate impact on the effective tax rate, resulting in much greater sensitivity to geographical profit assumptions and estimates.

Many groups might undertake large-scale scenario planning exercises in periods of significant economic uncertainty due to geopolitical conflicts, but those planning exercises might be focused at a trading profit level; they might not take into account all of the factors that need to be considered to determine taxable profits by geography.

Therefore, whilst the assumptions used to estimate the weighted average annual effective income tax rate expected to apply to the full financial year should be consistent with those used in other financial statement estimates for elements that are comparable, the actual rate for the interim period (excluding the impact of one-off items) might provide a reasonable basis for estimating the effective rate for the full year, adjusting for the effects of any seasonal impacts or ongoing impacts of major geopolitical events.

Paragraph 16A(d) of IAS 34 requires disclosure of the nature and amount of changes in estimates of amounts reported in prior periods (either interim periods within the current financial year or in prior financial years). When geopolitical events have introduced uncertainty, entities should update their disclosures to explain the assumptions made in estimating the weighted average annual effective tax rate, including related sensitivity analysis.

At the date of each interim financial report, an entity should re-estimate its effective annual tax rate and apply that to the profits earned to date. There should be no restatement of previously reported interim periods for the change in estimate, but disclosure is required of the nature and impact of the change, where significant. [IAS 34 App B para B13].

FAQ 12.3 – What are the potential implications of a geopolitical conflict for the net defined benefit liability when reporting under IAS 34?

Reference to In Depth standing text: IAS 19 para 58; IAS 34 para C4
Reference to In Depth standing text: 12

Question

What are the potential implications of a geopolitical conflict for the net defined benefit liability when reporting under IAS 34?

Answer

The net defined benefit liability is the difference between the present value of the defined benefit obligation (DBO) and the fair value of the plan assets. Paragraph 58 of IAS 19 requires the net defined benefit liability to be determined with sufficient regularity so that the amounts recognised in the financial statements do not differ materially from the amounts that would be determined at the end of the reporting period. Paragraph C4 of IAS 34 states that IAS 19 requires an entity to determine the present value of the DBO and the fair value of plan assets at each reporting date. The potential uncertainty and volatility arising from a geopolitical conflict might mean that management should obtain up-to-date information to determine the net

defined benefit liability at each interim reporting date.

Plan assets

The fair value of plan assets is measured at the reporting date, with any movements in the market, post reporting date, being non-adjusting post balance sheet events. The reporting date for an interim period is the date at the end of the reporting period. Where there are adjustments to fair value changes which occur during the interim period reported, these adjustments are usually reflected in other comprehensive income, and they do not affect the calculation of the interim profit and loss charge. Refer to FAQ 10.2.2 for more guidance.

The DBO

Management should reconsider the following assumptions at an interim reporting date, to determine whether there has been a material change for which the DBO should be adjusted:

- the discount rate;
- the impact of conditional increases of payments to pensioners; and
- the rate of price and wage inflation.

The impact on the net defined benefit liability will vary depending on the specific facts and circumstances of each entity.

Any change in the defined benefit obligation as a result of changes in the assumptions used to measure the DBO will be recognised in other comprehensive income.

FAQ 12.4 – What are the potential implications of a geopolitical conflict for pension expense when reporting under IAS 34?

Reference to In Depth standing text: IAS 19 paras 122A, 123A; IAS 34 paras 28, B9
Reference to In Depth standing text: 12

Question

What are the potential implications of a geopolitical conflict for pension expense when reporting under IAS 34?

Answer

Paragraph B9 of IAS 34 states that the pension cost for an interim period is calculated on a year-to-date basis by using the actuarially determined pension cost rate as at the end of the previous financial year. Paragraphs 122A and 123A of IAS 19 require, when there is a curtailment, settlement or plan amendment, the current service cost and interest on the net defined benefit obligation for the remainder of the financial year to be determined using the assumptions used to remeasure the net defined benefit liability. The assumptions determined at the beginning of the period are therefore updated in interim reports to reflect assumptions current at the time of these events. These revised assumptions are then used to determine the current service cost and net interest cost for the remainder of the period.

Paragraph B9 of IAS 34 also suggests that the pension cost should be adjusted for significant market fluctuations. It does not define significant market fluctuations. An adjustment for market fluctuations, however defined, in a particular interim period might affect the pension cost for the rest of the year. This would be inconsistent with the principle in paragraph 28 of IAS 34 that the frequency of interim reporting does not affect the measurement of the annual results. We consider that this inconsistency means that management has an accounting policy choice for the presentation of the pension cost as a result of changes in pension assumptions:

- present the changes after the significant market fluctuation in the income statement; or
- continue to present the changes in other comprehensive income until the end of the financial year (assuming that there is no curtailment, settlement or plan amendment).

The policy chosen should be applied consistently and disclosed, if material.

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